

DRAFT RED HERRING PROSPECTUS

Dated [●], 2026

(This Draft Red Herring Prospectus will be updated upon filing with the RoC)

Please read Section 32 of the Companies Act, 2013

100% Book Built Issue

SATVIK FOODS LIMITED

Our Company was incorporated on March 14, 2016 at Pune, Maharashtra, India as “Satvik Foods Private Limited”, a private limited company under the Companies Act, 2013, pursuant to a certificate of incorporation granted by the Registrar of Companies, Pune. Our Company was thereafter converted into a public limited company under the Companies Act, 2013, as approved by our Shareholders pursuant to a resolution dated [●], and consequently the name of our Company was changed to “Satvik Foods Limited” and a fresh certificate of incorporation dated January 22, 2026 was issued by the Registrar of Companies, Pune (“RoC”). For further details in relation to the changes in the name and the Registered Office of our Company, see “History and Certain Corporate Matters” beginning on page 42.

Registered Office: Plot 42, Baner Industrial Estate, Baner, Pune 411 045, Maharashtra, India

Contact Person: [●], Company Secretary and Compliance Officer

Tel: [●]; E-mail: [●]; Website: www.satvikfoods.in

Corporate Identity Number: U15490PN2016PTC167432

OUR PROMOTERS: ANANYA DESHPANDE AND ROHAN KULKARNI

INITIAL PUBLIC ISSUE OF UP TO 29,09,100 EQUITY SHARES OF FACE VALUE OF ₹10 EACH (“EQUITY SHARES”) OF SATVIK FOODS LIMITED (OUR “COMPANY” OR THE “COMPANY” OR THE “ISSUER”) FOR CASH AT A PRICE OF ₹[●] PER EQUITY SHARE (INCLUDING A PREMIUM OF ₹[●] PER EQUITY SHARE) AGGREGATING UP TO ₹3,200.00 LAKH THROUGH A FRESH ISSUE (THE “ISSUE”). THE ISSUE INCLUDES A RESERVATION OF UP TO 1,45,455 EQUITY SHARES FOR SUBSCRIPTION BY THE DESIGNATED MARKET MAKER (THE “MARKET MAKER RESERVATION PORTION”). THE ISSUE LESS THE MARKET MAKER RESERVATION PORTION IS REFERRED TO AS THE “NET ISSUE”. THE ISSUE AND THE NET ISSUE SHALL CONSTITUTE [●]% AND [●]%, RESPECTIVELY, OF THE POST-ISSUE PAID-UP EQUITY SHARE CAPITAL OF OUR COMPANY.

THE FACE VALUE OF THE EQUITY SHARES IS ₹10 EACH AND THE ISSUE PRICE IS [●] TIMES THE FACE VALUE OF THE EQUITY SHARES. THE PRICE BAND AND THE MINIMUM BID LOT WILL BE DECIDED BY OUR COMPANY IN CONSULTATION WITH THE LEAD MANAGER, AND WILL BE INCLUDED IN THE RED HERRING PROSPECTUS AND ADVERTISED IN [●] EDITIONS OF THE ENGLISH NATIONAL DAILY NEWSPAPER [●], [●] EDITIONS OF THE HINDI NATIONAL DAILY NEWSPAPER [●] AND [●] EDITIONS OF THE MARATHI DAILY NEWSPAPER [●] (MARATHI BEING THE REGIONAL LANGUAGE OF MAHARASHTRA, WHERE OUR REGISTERED OFFICE IS LOCATED), EACH WITH WIDE CIRCULATION, AT LEAST TWO WORKING DAYS PRIOR TO THE BID/ISSUE OPENING DATE, AND SHALL BE MADE AVAILABLE TO THE NATIONAL STOCK EXCHANGE OF INDIA LIMITED (“NSE”) FOR THE PURPOSE OF UPLOADING ON ITS WEBSITE.

The Issue is being made through the Book Building Process in terms of Rule 19(2)(b) of the Securities Contracts (Regulation) Rules, 1957, as amended, read with Regulation 253 of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended (the “SEBI ICDR Regulations”), wherein not more than 50% of the Net Issue shall be available for allocation on a proportionate basis to Qualified Institutional Buyers (“QIBs”), not less than 15% of the Net Issue shall be available for allocation to Non-Institutional Bidders and not less than 35% of the Net Issue shall be available for allocation to Retail Individual Bidders, in each case subject to valid Bids being received at or above the Issue Price. All Bidders are required to mandatorily utilise the Application Supported by Blocked Amount (“ASBA”) process by providing details of their respective ASBA accounts and UPI ID (in the case of Retail Individual Bidders), in which the corresponding Bid Amounts will be blocked by the SCSBs or under the UPI Mechanism, as applicable. Anchor Investors are not permitted to participate in the Issue through the ASBA process. See “Issue Procedure” beginning on page 72.

RISK IN RELATION TO THE FIRST ISSUE

This being the first public issue of Equity Shares of our Company, there has been no formal market for the Equity Shares. The face value of the Equity Shares is ₹10 each. The Floor Price, Cap Price and Issue Price should not be taken to be indicative of the market price of the Equity Shares after the Equity Shares are listed. No assurance can be given regarding an active or sustained trading in the Equity Shares nor regarding the price at which the Equity Shares will be traded after listing.

GENERAL RISK

Investments in equity and equity-related securities involve a degree of risk and investors should not invest any funds in the Issue unless they can afford to take the risk of losing their entire investment. Investors are advised to read the risk factors carefully before taking an investment decision in the Issue. For taking an investment decision, investors must rely on their own examination of our Company and the Issue, including the risks involved. The Equity Shares in the Issue have not been recommended or approved by the Securities and Exchange Board of India (the “SEBI”), nor does the SEBI guarantee the accuracy or adequacy of the contents of this Draft Red Herring Prospectus. Specific attention of the investors is invited to “Risk Factors” beginning on page 9.

ISSUER'S ABSOLUTE RESPONSIBILITY

Our Company, having made all reasonable inquiries, accepts responsibility for and confirms that this Draft Red Herring Prospectus contains all information with regard to our Company and the Issue, which is material in the context of the Issue, that the information contained in this Draft Red Herring Prospectus is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which makes this Draft Red Herring Prospectus as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect.

LISTING

The Equity Shares offered through the Red Herring Prospectus are proposed to be listed on the SME Platform of the National Stock Exchange of India Limited (“NSE Emerge”). Our Company has received an ‘in-principle’ approval from NSE for the listing of the Equity Shares pursuant to its letter dated [●]. For the purposes of the Issue, the Designated Stock Exchange shall be the National Stock Exchange of India Limited. A signed copy of the Red Herring Prospectus and the Prospectus shall be delivered to the RoC in accordance with the Companies Act, 2013. For details of the material contracts and documents that will be available for inspection from the date of the Red Herring Prospectus up to the Bid/Issue Closing Date, see “Material Contracts and Documents for Inspection” beginning on page 77.

LEAD MANAGER	REGISTRAR TO THE ISSUE
Meridian Capital Advisors LLP • Address: [●] • Tel: [●] • E-mail: [●] • Website: [●] • Contact Person: [●] • SEBI Registration No.: [●]	Bigshare Services Private Limited • Address: [●] • Tel: [●] • E-mail: [●] • Website: [●] • Contact Person: [●] • SEBI Registration No.: [●]
BID/ISSUE PROGRAMME	
BID/ISSUE OPENS ON: [●]	BID/ISSUE CLOSES ON: [●]

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SECTION I: GENERAL

DEFINITIONS AND ABBREVIATIONS

This Draft Red Herring Prospectus uses certain definitions and abbreviations which, unless otherwise specified or the context otherwise indicates, requires or implies, shall have the meanings as provided below. References to any legislation, act, regulation, rule, guideline, policy, circular, notification or clarification shall be deemed to include all amendments, supplements, re-enactments and modifications thereto from time to time, and any reference to a statutory provision shall include any subordinate legislation made from time to time thereunder. The words and expressions used but not defined in this Draft Red Herring Prospectus will have the same meaning as assigned to such terms under the Companies Act, 2013, the SEBI Act, the SEBI ICDR Regulations, the SCRA, the Depositories Act and the rules and regulations made thereunder, as applicable.

Notwithstanding the foregoing, the terms used in “Industry Overview”, “Key Regulations and Policies”, “Statement of Special Tax Benefits”, “Restated Financial Information”, “Basis for Issue Price”, “History and Certain Corporate Matters”, “Financial Indebtedness”, “Other Regulatory and Statutory Disclosures”, “Outstanding Litigation and Material Developments” and “Description of Equity Shares and Terms of the Articles of Association” beginning on pages 35, 40, 33, 51, 29, 42, 55, 65, 60 and 75, respectively, shall have the respective meanings ascribed to them in the relevant section.

General Terms

Term	Description
“Our Company” or “the Company” or “the Issuer” or “Satvik” or “we” or “us” or “our”	Satvik Foods Limited, a company incorporated under the Companies Act, 2013, whose Registered Office is situated at Plot 42, Baner Industrial Estate, Baner, Pune 411 045, Maharashtra, India

Company Related Terms

Term	Description
Articles of Association or AoA	The articles of association of our Company, as amended from time to time
Audit Committee	The audit committee of our Board, constituted in accordance with Section 177 of the Companies Act, 2013 and Regulation 18 of the SEBI Listing Regulations, as described in “Our Management” beginning on page 44
Board or Board of Directors	The board of directors of our Company, as described in “Our Management”
Company Secretary and Compliance Officer	The company secretary and compliance officer of our Company, being [●]
Director(s)	The director(s) on our Board
Equity Shares	Equity shares of our Company of face value of ₹10 each
ESOP Scheme	The employee stock option scheme of our Company, being [●], pursuant to which options exercisable into Equity Shares representing 6.10% of the pre-Issue paid-up Equity Share capital of our Company have been reserved
Group Company	Such companies as are identified as group companies in accordance with Regulation 2(1)(t) of the SEBI ICDR Regulations, as disclosed in “Our Group Companies” beginning on page 49
Key Managerial Personnel or KMP	Key managerial personnel of our Company in accordance with Regulation 2(1)(bb) of the SEBI ICDR Regulations and Section 2(51) of the Companies Act, 2013, as disclosed in “Our Management”
Materiality Policy	The policy on identification of material outstanding litigation proceedings, material creditors and material Group Companies, adopted by our Board pursuant to its resolution dated February 18, 2026
Memorandum of Association or MoA	The memorandum of association of our Company, as amended from time to time
Nomination and Remuneration Committee	The nomination and remuneration committee of our Board, constituted in accordance with Section 178 of the Companies Act, 2013 and Regulation 19 of the SEBI Listing Regulations
Promoters	The promoters of our Company, being Ananya Deshpande and Rohan Kulkarni
Promoter Group	The persons and entities constituting the promoter group of our Company in terms of Regulation 2(1)(pp) of the SEBI ICDR Regulations
Registered Office	The registered office of our Company situated at Plot 42, Baner Industrial Estate, Baner, Pune 411

Term	Description
	045, Maharashtra, India
Restated Financial Information	The restated financial information of our Company as at and for the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021, comprising the restated statement of assets and liabilities, the restated statement of profit and loss, the restated statement of cash flows, the restated statement of changes in equity and the summary of significant accounting policies and explanatory notes thereto
Shareholders	The holders of the Equity Shares from time to time
Stakeholders Relationship Committee	The stakeholders relationship committee of our Board
Statutory Auditors	The statutory auditors of our Company, being [●]

Issue Related Terms

Term	Description
Allotment	Unless the context otherwise requires, the allotment of Equity Shares pursuant to the Fresh Issue to the successful Bidders
Anchor Investor	A Qualified Institutional Buyer, applying under the Anchor Investor Portion in accordance with the requirements specified in the SEBI ICDR Regulations and the Red Herring Prospectus
ASBA or Application Supported by Blocked Amount	An application, whether physical or electronic, used by ASBA Bidders to make a Bid and authorising an SCSB to block the Bid Amount in the relevant ASBA Account, and will include amounts blocked by an SCSB upon acceptance of a UPI Mandate Request made by Retail Individual Bidders using the UPI Mechanism
Basis of Allotment	The basis on which the Equity Shares will be Allotted to successful Bidders under the Issue, as described in “Issue Procedure” beginning on page 72
Bid	An indication to make an offer during the Bid/Issue Period by an ASBA Bidder pursuant to submission of the ASBA Form, or during the Anchor Investor Bid/Issue Period by an Anchor Investor pursuant to submission of the Anchor Investor Application Form, to subscribe to the Equity Shares at a price within the Price Band, including all revisions and modifications thereto
Cap Price	The higher end of the Price Band, above which the Issue Price and the Anchor Investor Issue Price will not be finalised and above which no Bids will be accepted
Designated Market Maker	Anchor Securities Private Limited, appointed as the market maker to the Issue in accordance with Regulation 261 of the SEBI ICDR Regulations
Draft Red Herring Prospectus or DRHP	This draft red herring prospectus dated [●], 2026, issued in accordance with the SEBI ICDR Regulations, which does not contain complete particulars of the price at which the Equity Shares will be Allotted and the size of the Issue
Floor Price	The lower end of the Price Band, at or above which the Issue Price and the Anchor Investor Issue Price will be finalised and below which no Bids will be accepted
Fresh Issue	The fresh issue of up to 29,09,100 Equity Shares aggregating up to ₹3,200.00 lakh by our Company
Issue	The initial public issue of up to 29,09,100 Equity Shares for cash at a price of ₹[●] each, aggregating up to ₹3,200.00 lakh
Lead Manager or LM	Meridian Capital Advisors LLP
Market Maker Reservation Portion	The reserved portion of up to 1,45,455 Equity Shares to be subscribed by the Designated Market Maker
Net Issue	The Issue less the Market Maker Reservation Portion
Net Proceeds	The proceeds of the Fresh Issue less our Company’s share of the Issue related expenses, as described in “Objects of the Issue” beginning on page 25
Price Band	The price band of a minimum price of ₹[●] per Equity Share (Floor Price) and the maximum price of ₹[●] per Equity Share (Cap Price), including any revisions thereof, to be decided by our Company in consultation with the Lead Manager and advertised at least two Working Days prior to the Bid/Issue Opening Date
Registrar to the Issue or Registrar	Bigshare Services Private Limited
SME Platform of NSE or NSE Emerge	The SME platform of the National Stock Exchange of India Limited, approved by SEBI as an SME exchange in accordance with Chapter IX of the SEBI ICDR Regulations

Term	Description
Underwriting Agreement	The agreement to be entered into among our Company, the Registrar to the Issue and the Underwriter on or after the Pricing Date but prior to the filing of the Prospectus with the RoC

Technical and Industry Related Terms

Term	Description
D2C	Direct-to-consumer, being a channel through which products are sold by a manufacturer directly to the end consumer without an intervening retail intermediary
FPO	Farmer producer organisation
HoReCa	Hotels, restaurants and cafés
Millet	Small-seeded cereal crops including jowar, bajra, ragi, foxtail millet and little millet
Modern Trade	Organised retail chains, supermarkets and hypermarkets, as distinguished from general trade
MT	Metric tonne
Quick Commerce	Retail commerce channels offering delivery of consumer goods to end consumers within a short delivery window
SKU	Stock keeping unit

Conventional and General Terms and Abbreviations

Term	Description
CAGR	Compound annual growth rate
CARO	Companies (Auditor's Report) Order, 2020
CIN	Corporate identity number
Companies Act, 2013	The Companies Act, 2013, along with the relevant rules made thereunder
CSR	Corporate social responsibility
Depositories	NSDL and CDSL
DIN	Director identification number
EBITDA	Earnings before interest, taxes, depreciation and amortisation
EPS	Earnings per equity share
FEMA	The Foreign Exchange Management Act, 1999, read with the rules and regulations thereunder
Financial Year, Fiscal or FY	The period of 12 months commencing on April 1 of the immediately preceding calendar year and ending on March 31 of that particular calendar year
FSSAI	The Food Safety and Standards Authority of India
GST	Goods and services tax
Ind AS	The Indian Accounting Standards notified under Section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules, 2015
MCA	The Ministry of Corporate Affairs, Government of India
MSMED Act	The Micro, Small and Medium Enterprises Development Act, 2006
NAV	Net asset value
PAT	Profit after tax
RoNW	Return on net worth
SCRR	The Securities Contracts (Regulation) Rules, 1957
SEBI Listing Regulations	The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

CERTAIN CONVENTIONS, PRESENTATION OF FINANCIAL, INDUSTRY AND MARKET DATA

Certain Conventions

All references to “India” contained in this Draft Red Herring Prospectus are to the Republic of India and its territories and possessions, and all references herein to the “Government”, “Indian Government”, “GoI”, “Central Government” or the “State Government” are to the Government of India, central or state, as applicable.

Unless otherwise specified, any time mentioned in this Draft Red Herring Prospectus is in Indian Standard Time (“IST”). Unless indicated otherwise, all references to a year in this Draft Red Herring Prospectus are to a calendar year. Unless stated otherwise, all references to page numbers in this Draft Red Herring Prospectus are to the page numbers of this Draft Red Herring Prospectus.

Financial Data

Our Company’s Financial Year commences on April 1 of the immediately preceding calendar year and ends on March 31 of that particular calendar year, so all references to a particular Financial Year or Fiscal, unless stated otherwise, are to the 12-month period commencing on April 1 of the immediately preceding calendar year and ending on March 31 of that particular calendar year.

Unless the context requires otherwise, the financial information in this Draft Red Herring Prospectus is derived from the Restated Financial Information of our Company as at and for the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021, comprising (i) the restated statement of assets and liabilities as at March 31, 2023, March 31, 2022 and March 31, 2021; (ii) the restated statement of profit and loss (including other comprehensive income), the restated statement of cash flows and the restated statement of changes in equity for the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021; and (iii) the notes thereto, each prepared in accordance with Ind AS, the requirements of Section 26 of Part I of Chapter III of the Companies Act, 2013, the SEBI ICDR Regulations and the Guidance Note on Reports in Company Prospectuses (Revised 2019) issued by the ICAI, each as amended from time to time. For further information, see “Restated Financial Information” beginning on page 51.

Our Company is required to file the latest interim financial information in accordance with Regulation 11 of the SEBI ICDR Regulations where the latest audited financial information is more than six months old as at the date of filing. Accordingly, the restated interim financial information of our Company for the nine-month period ended December 31, 2023 is included in this Draft Red Herring Prospectus. Figures for the said interim period are not annualised and are not comparable with figures for a full Financial Year.

Ind AS, U.S. GAAP and IFRS differ in certain significant respects from other accounting principles and standards with which investors may be more familiar. We have not made any attempt to explain those differences or quantify their impact on the financial data included in this Draft Red Herring Prospectus, nor do we provide a reconciliation of our financial statements to those of IFRS or any other accounting principles or standards. Prospective investors should consult their own professional advisers for an understanding of the differences between these accounting principles and those with which they may be more familiar.

All figures in decimals have been rounded off to the second decimal place. In certain instances, (i) the sum or percentage change of such numbers may not conform exactly to the total figure given; and (ii) the sum of the numbers in a column or row in certain tables may not conform exactly to the total figure given for that column or row. Any such discrepancies are due to rounding off.

Non-GAAP Financial Measures

We use a variety of financial and operational performance indicators to measure and analyse our financial and operational performance from period to period, and to manage our business. Presentation of these non-GAAP financial measures and key performance indicators should not be considered in isolation from, or as a substitute for, analysis of our historical financial performance as reported and presented in our Restated Financial Information. These non-GAAP financial measures are not defined under Ind AS, are not presented in accordance with Ind AS and have limitations as analytical tools. They may differ from similarly titled information used by other companies, including peer companies, and hence their comparability with those used by us may be limited.

The key financial and operational performance indicators presented in this Draft Red Herring Prospectus include EBITDA, EBITDA Margin, PAT Margin, RoE, Debt-Equity Ratio and Current Ratio, in “Our Business”, “Basis for Issue Price” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 36, 29 and 56, respectively. Each such measure has been certified by [●], Chartered Accountants, by way of their certificate dated [●].

Currency and Units of Presentation

All references to “₹” or “Rupees” or “Rs.” or “INR” are to Indian Rupees, the official currency of the Republic of India. All references to “U.S.\$” or “USD” are to United States Dollars, the official currency of the United States of America.

Certain numerical information has been presented in this Draft Red Herring Prospectus in “lakh” units. One lakh represents 100,000 and one crore represents 10,000,000. However, where any figures may have been sourced from third-party industry sources and are expressed in denominations other than lakh, such figures appear in this Draft Red Herring Prospectus expressed in such denominations as provided in their respective sources.

Exchange Rates

This Draft Red Herring Prospectus contains conversions of certain other currency amounts into Indian Rupees that have been presented solely to comply with the SEBI ICDR Regulations. These conversions should not be construed as a representation that these currency amounts could have been, or can be, converted into Indian Rupees at any particular rate or at all. The table below sets forth, for the dates indicated, information with respect to the exchange rate between the Rupee and the U.S. Dollar.

(Exchange rate in ₹)

Currency	March 31, 2023	March 31, 2022	March 31, 2021
1 USD	[●]	[●]	[●]

Source: FBIL Reference Rate as available on www.fbil.org.in

Note: The exchange rate is rounded off to two decimal places. In case March 31 of any of the respective years is a public holiday, the previous working day, not being a public holiday, has been considered.

Industry and Market Data

Unless stated otherwise, industry and market data used in this Draft Red Herring Prospectus, including the information in “Industry Overview”, “Our Business” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 35, 36 and 56, respectively, have been obtained or derived from publicly available information as well as industry publications and sources, including a report dated [●] and titled “[●]” (the “Industry Report”) prepared by [●] (the “Industry Consultant”), which report has been commissioned and paid for by our Company for the purposes of confirming our understanding of the industry in connection with the Issue. For risks in relation to commissioned reports, see “Risk Factors” beginning on page 9.

Industry publications generally state that the information contained in those publications has been obtained from sources believed to be reliable but that their accuracy, adequacy, completeness or underlying assumptions are not guaranteed and their reliability cannot be assured. The data used in these sources may have been reclassified by us for the purposes of presentation. Industry sources and publications are also prepared based on information as of specific dates and may no longer be current or reflect current trends. There are no standard data gathering methodologies in the industry in which our Company conducts business, and methodologies and assumptions may vary widely among different market and industry sources. Accordingly, no investment decision should be made solely on the basis of such information.

The Industry Consultant has requested the following disclaimer for inclusion of the information in the Industry Report in this Draft Red Herring Prospectus:

“[●] — disclaimer to be reproduced verbatim as required by the Industry Consultant and to be inserted upon receipt of the final Industry Report and consent letter.”

In accordance with the SEBI ICDR Regulations, “Basis for Issue Price” beginning on page 29 includes information relating to our peer group companies.

FORWARD-LOOKING STATEMENTS

This Draft Red Herring Prospectus contains certain forward-looking statements. All statements contained in this Draft Red Herring Prospectus that are not statements of historical fact constitute “forward-looking statements”. These forward-looking statements generally can be identified by words or phrases such as “aim”, “anticipate”, “believe”, “expect”, “estimate”, “intend”, “objective”, “plan”, “project”, “propose”, “seek to”, “shall”, “likely to”, “will”, “will continue”, “will pursue”, or other words or phrases of similar import. Similarly, statements that describe our expected financial condition, results of operations, business, prospects, strategies, objectives, plans or goals are also forward-looking statements. All forward-looking statements are based on our current plans, estimates, presumptions and expectations and are subject to risks, uncertainties and assumptions about us that could cause actual results to differ materially from those contemplated by the relevant forward-looking statement.

Actual results may differ materially from those suggested by the forward-looking statements due to risks or uncertainties associated with our expectations with respect to, but not limited to, regulatory changes pertaining to the industry in which we operate and our ability to respond to them, our ability to successfully implement our strategy, our growth and expansion, technological changes, our exposure to market risks, general economic and political conditions in India and globally, the monetary and fiscal policies of India, inflation, deflation, unanticipated turbulence in interest rates, changes in laws, regulations and taxes, changes in competition in our industry, and the incidence of natural calamities. Important factors that could cause actual results to differ materially from our Company’s expectations include, but are not limited to, the following:

- dependence on a single manufacturing facility at Baner, Pune for the entirety of our manufacturing operations;
- concentration of raw material procurement, with our top five suppliers accounting for 61% of our purchases in Fiscal 2023;
- concentration of revenue in the modern trade and quick commerce channels, with our largest channel partner accounting for 22% of our revenue from operations;
- inability to obtain, renew or maintain our statutory and regulatory licences, permits and approvals, including our FSSAI central licence and our consent to operate;
- any real or perceived contamination of, or quality deficiency in, our products or raw materials, or a product recall;
- volatility in the prices and availability of millets, oilseeds and other agricultural raw materials;
- inability to implement our business strategies or to sustain and manage our growth;
- inadequacy of our insurance cover relative to the book value of our assets;
- outstanding indirect tax proceedings and other contingent liabilities;
- continued control of our Promoters over our Company following the Issue; and
- our ability to protect and enforce our intellectual property, including the “Satvik” brand.

For further discussion of factors that could cause the actual results to differ from the expectations, see “Risk Factors”, “Our Business” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 9, 36, 56, respectively. By their nature, certain market risk disclosures are only estimates and could be materially different from what actually occurs in the future. As a result, actual future gains or losses could materially differ from those that have been estimated and are not a guarantee of future performance.

Forward-looking statements reflect the current views of our Company as of the date of this Draft Red Herring Prospectus and are not a guarantee of future performance. Given these uncertainties, investors are cautioned not to place undue reliance on such forward-looking statements and not to regard such statements as a guarantee of our future performance. Neither our Company, our Directors, our Key Managerial Personnel, our Promoters, the Lead Manager nor any of their respective affiliates has any obligation to update or otherwise revise any statements reflecting circumstances arising after the date hereof or to reflect the occurrence of underlying events, even if the underlying assumptions do not come to fruition. In accordance with the SEBI requirements, our Company will ensure that

investors are informed of material developments from the date of the Red Herring Prospectus until the date of Allotment.

SECTION II: RISK FACTORS

An investment in our Equity Shares involves a certain degree of risk. Prospective investors should carefully consider all the information in this Draft Red Herring Prospectus, including the risks and uncertainties described below, before making an investment in our Equity Shares pursuant to the Issue. The risks described below are not the only ones relevant to us or our Equity Shares or the industry in which we operate or to India. Additional risks and uncertainties not presently known to us or that we currently deem immaterial may also impair our business, results of operations, financial condition and cash flows. If any of the following risks, or other risks that are not currently known or are currently deemed immaterial, actually occur, our business, results of operations, financial condition and cash flows could suffer, the trading price of our Equity Shares could decline, and you may lose all or part of your investment.

In order to obtain a complete understanding of our Company and our business, prospective investors should read this section in conjunction with “Our Business”, “Industry Overview” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 36, 35 and 56, respectively, as well as the financial, statistical and other information contained in this Draft Red Herring Prospectus. Unless otherwise stated, the financial information used in this section is derived from our Restated Financial Information.

Unless specified or quantified in the relevant risk factors below, we are not in a position to quantify the financial or other implications of any of the risks described in this section. In making an investment decision, prospective investors must rely on their own examination of our Company and the terms of the Issue, including the merits and risks involved. You should consult your tax, financial and legal advisors about the particular consequences of an investment in the Issue.

INTERNAL RISK FACTORS

Risks relating to our business and operations

1. All of our manufacturing operations are carried out at a single facility at Baner, Pune, Maharashtra, which is held on lease. Any disruption at, or loss of tenure over, this facility would materially and adversely affect our operations.

The entirety of our manufacturing capacity is located at Plot 42, Baner Industrial Estate, Baner, Pune, Maharashtra. We do not own this facility. It is occupied by us under a registered lease deed for a term of nine years commencing April 1, 2021, of which four years of the lock-in period remain as at the date of this Draft Red Herring Prospectus. We have no alternative manufacturing location to which production could be shifted at short notice.

Our operations at this facility are subject to operating risks, including breakdown or failure of plant and machinery, interruptions in power supply, industrial accidents, fire, flood and other natural disasters, labour disputes, and the need to comply with the directives of the relevant government authorities. Any significant interruption at, or our inability to renew the lease over, or to continue to occupy, this facility on commercially acceptable terms or at all, would result in a complete cessation of our manufacturing operations until an alternative facility is identified, licensed and commissioned. We are proposing to deploy ₹1,300.00 lakh of the Net Proceeds towards a new millet-processing line at this same facility, which will further concentrate our operations at this location. For further details, see “Objects of the Issue” and “Our Business” beginning on pages 25, 36, respectively. Any of the foregoing could have a material adverse effect on our business, results of operations, financial condition and cash flows.

2. We depend on a limited number of suppliers for our raw materials. Our top five suppliers accounted for 61% of our purchases in Fiscal 2023, and the loss of any of them could adversely affect our operations.

Our principal raw materials are millets, oilseeds and allied agricultural commodities, which we source principally from farmer producer organisations in Maharashtra and Karnataka. In Fiscal 2023, our top five suppliers accounted for 61% of our total purchases. We have entered into two written supply arrangements, the longest of which has a tenure of three years. A substantial portion of our procurement is accordingly undertaken on a purchase-order basis without long-term committed volumes or prices.

The loss of, or a significant reduction in supply from, any of our principal suppliers, or their inability to supply raw materials of the requisite quality, in the requisite quantities or on commercially acceptable terms, could disrupt our production, require us to procure at higher cost from alternative sources, and adversely affect our margins. Further, the prices of agricultural commodities are inherently volatile and are affected by, among other things, monsoon conditions, crop yields, minimum support prices, export and import restrictions, and general commodity market conditions. We

may be unable to pass on any increase in raw material prices to our customers in a timely manner or at all, which could have a material adverse effect on our business, results of operations and financial condition.

3. A significant portion of our revenue is derived from the modern trade and quick commerce channels and from a limited number of channel partners. Our largest channel partner accounted for 22% of our revenue from operations.

We sell our products through our direct-to-consumer channel, quick commerce platforms and more than 4,200 modern trade outlets. Our arrangements with modern trade and quick commerce partners are typically listing arrangements and memoranda of understanding that may be terminated at short notice, do not commit any minimum offtake and may be varied unilaterally as to listing fees, margins and shelf placement. Our largest channel partner accounted for 22% of our revenue from operations in Fiscal 2023.

The delisting of any of our stock keeping units by a significant partner, an adverse change in commercial terms, a change in the algorithmic prominence accorded to our products on quick commerce platforms, or the insolvency or payment default of any such partner could result in a material reduction in our revenue and an increase in our receivables risk. We may also be required to offer increased trade discounts and promotional spends to retain shelf and screen presence, which could adversely affect our margins.

4. We require a number of statutory and regulatory licences, permits and approvals to operate our business. Our FSSAI central licence and our consent to operate are due for renewal, and an application for renewal of our fire safety no-objection certificate is pending.

We manufacture and sell packaged food products and are accordingly subject to an extensive licensing regime. Our principal approvals include a central licence under the Food Safety and Standards Act, 2006 bearing number 10019064002537, which is valid until September 30, 2026; a factory licence under the Factories Act, 1948 bearing number MH/PUN/041/2019, valid until December 31, 2026; a consent to operate issued by the Maharashtra Pollution Control Board, valid until March 31, 2027; and a packer registration under the Legal Metrology (Packaged Commodities) Rules, 2011, valid until June 14, 2027.

As at the date of this Draft Red Herring Prospectus, the renewal application in respect of the fire safety no-objection certificate for the Baner premises, filed on February 12, 2026, is pending before the Pune Fire Brigade. We cannot assure you that this or any other approval will be granted or renewed in a timely manner or at all. Any suspension, cancellation or non-renewal of, or the imposition of onerous conditions upon, any material approval, in particular our FSSAI central licence, would require us to suspend manufacturing operations. For further details, see “Government and Other Approvals” beginning on page 63.

5. Any real or perceived contamination of, or deficiency in, our products, or a product recall, could damage the “Satvik” brand and expose us to liability.

We manufacture and sell packaged food products for human consumption. Our products are susceptible to contamination by micro-organisms, foreign matter, pesticide residue, adulterants and allergens, whether arising at the raw material stage, during processing and packing, or in the course of storage and distribution by third parties over whom we have limited control. Any actual or alleged contamination, mislabelling, adulteration, or non-compliance with prescribed food safety standards could result in a product recall, regulatory proceedings under the Food Safety and Standards Act, 2006, claims by consumers, adverse publicity including on social media, and the delisting of our products by channel partners. The consequences of any such event would not be limited to the affected stock keeping unit and could adversely affect the reputation of the “Satvik” brand as a whole.

6. Our insurance cover may not be adequate to cover all losses incurred in our business. As at March 31, 2023, our assets were insured to approximately 68% of their book value.

We maintain four policies in force covering, among other things, our plant and machinery, stock-in-trade and public liability, with an aggregate sum insured of ₹960.00 lakh as at March 31, 2023. This represents approximately 68% of the book value of the insured assets as at that date. Our insurance policies are subject to customary exclusions, deductibles and limits, and we do not maintain business interruption cover in respect of our manufacturing facility. In the event of a total or partial loss, our insurance proceeds may be insufficient to cover the cost of replacement or the

loss of profits arising from any consequent interruption of operations, and any uninsured or under-insured loss could have a material adverse effect on our financial condition and cash flows.

7. We have had negative free cash flow to equity in the past and may continue to do so in the future.

Our free cash flow to equity, computed as net cash generated from operating activities less capital expenditure plus net borrowings, was negative ₹83.00 lakh in Fiscal 2021, and was positive ₹101.00 lakh and ₹324.00 lakh in Fiscal 2022 and Fiscal 2023, respectively. The negative free cash flow in Fiscal 2021 was principally attributable to capital expenditure of ₹305.00 lakh incurred on the commissioning of our Baner processing line in that year. We propose to incur further capital expenditure of ₹1,300.00 lakh out of the Net Proceeds. We cannot assure you that our free cash flow will remain positive in future periods, and any sustained negative free cash flow could impair our ability to service our indebtedness, fund our working capital requirements and pay dividends.

8. Our business is working capital intensive and we may require additional financing, which may not be available on commercially acceptable terms.

Our business requires a substantial amount of working capital, principally on account of inventory held to service the modern trade and quick commerce channels and receivables from channel partners. Our current ratio was 1.84 as at March 31, 2023. We propose to deploy ₹900.00 lakh of the Net Proceeds towards incremental working capital requirements. Our working capital requirements have been estimated by our management on the basis of assumptions in relation to holding periods and growth in revenue, which have not been appraised by any bank or financial institution. If our assumptions prove to be inaccurate, or if we are unable to obtain incremental working capital facilities on commercially acceptable terms, our operations could be adversely affected.

9. We are subject to restrictive covenants under our financing arrangements, and the no-objection of our lender in respect of the Issue has not been received as at the date of this Draft Red Herring Prospectus.

As at March 31, 2023, our total borrowings were ₹540.00 lakh, availed principally from Bank of Maharashtra. Our financing arrangements contain restrictive covenants that, among other things, require the prior consent of the lender for effecting a change in our capital structure, a change in shareholding or management control, and the declaration of dividends. As at the date of this Draft Red Herring Prospectus, the no-objection certificate of our lender in respect of the Issue and the consequent change in our capital structure and shareholding is awaited. Any failure to obtain such no-objection, or any breach of the covenants under our financing arrangements, could result in an event of default, the acceleration of our repayment obligations and the enforcement of the security created in favour of our lender. For further details, see “Financial Indebtedness” beginning on page 55.

10. There are outstanding indirect tax proceedings involving our Company and we have contingent liabilities that have not been provided for.

As at the date of this Draft Red Herring Prospectus, a demand of ₹18.40 lakh in respect of input tax credit availed for Fiscal 2021 is outstanding against our Company under the goods and services tax legislation. Our Company has preferred an appeal against the said demand before the Commissioner (Appeals), which is pending hearing. The amount has been disclosed as a contingent liability and has not been provided for in the Restated Financial Information.

We are in the process of obtaining a written opinion from our legal counsel in respect of the said appeal, which had not been received as at the date of this Draft Red Herring Prospectus. In the absence of such opinion, our assessment that an outflow of resources is not probable is based solely on the view of our management. If the appeal is decided against us, we would be required to discharge the demand together with interest and any penalty that may be levied. For further details, see “Outstanding Litigation and Material Developments” beginning on page 60.

11. Our Promoters will continue to exercise significant control over our Company after the Issue and will retain the ability to influence the outcome of matters submitted to Shareholders for approval.

Our Promoters, Ananya Deshpande and Rohan Kulkarni, together hold 62.80% of the pre-Issue paid-up Equity Share capital of our Company. Following the Issue, our Promoters will together hold approximately 42.74% of our post-Issue paid-up Equity Share capital, assuming full subscription. Together with the other members of the pre-Issue shareholder group, our Promoters will retain the ability to determine the outcome of matters requiring the approval of Shareholders

by an ordinary resolution and to influence, and in certain circumstances to block, matters requiring a special resolution, including the appointment and removal of Directors, the declaration of dividends, and any amendment to our Memorandum of Association and Articles of Association. The interests of our Promoters may differ from the interests of our other Shareholders.

12. Certain special rights conferred on our existing investors under the shareholders' agreement do not expressly fall away upon listing.

Our Company, our Promoters and certain investors, being Kartik Gaikwad, Om Bhorkade, Sahil Gadam, Khushi Chakke and Vansh Jaiswal, are parties to a shareholders' agreement dated August 11, 2021, which confers certain special rights on those investors including the right to nominate a director to our Board and anti-dilution protection. The said agreement does not expressly provide that these special rights shall stand terminated upon the listing of the Equity Shares. In terms of Regulation 31A of the SEBI Listing Regulations, any special right granted to a shareholder requires the approval of shareholders by a special resolution at intervals prescribed thereunder. Our Company proposes to enter into an amendment or termination deed prior to the filing of the Red Herring Prospectus with the RoC, so that all such special rights fall away with effect from the date of listing. We cannot assure you that such deed will be executed in a timely manner, and any failure to do so may result in continuing disparity between the rights of our pre-Issue Shareholders and those of the investors who subscribe in the Issue. For further details, see "History and Certain Corporate Matters" beginning on page 42.

13. The identification number of one of our Independent Directors is pending validation, and our Board composition disclosure is subject to such validation.

As at the date of this Draft Red Herring Prospectus, the director identification number of Mr. S. Iyer, Independent Director, is awaiting validation by the Ministry of Corporate Affairs. While we have received a declaration in Form DIR-8 from each of our Directors confirming that he or she is not disqualified from being appointed as a director under Section 164(2) of the Companies Act, 2013, our disclosure in relation to the composition of our Board and of the committees of which Mr. S. Iyer is a member remains subject to the completion of such validation. Any adverse outcome would require the reconstitution of our Board and of our Audit Committee and Nomination and Remuneration Committee prior to listing.

14. We depend on the "Satvik" brand, and any inability to protect our intellectual property could adversely affect our business.

Our business depends substantially upon the recognition and reputation of the "Satvik" brand. Our Company is the registered proprietor of three trade marks in classes 29 and 30 under the Trade Marks Act, 1999, which were assigned to our Company by our Promoters and recorded in 2019. The registration of a trade mark does not preclude a third party from challenging its validity, from applying for rectification of the register, or from adopting a deceptively similar mark in a class or territory in which we have no registration. The enforcement of intellectual property rights in India is subject to delay and uncertainty. Any inability to protect our brand, or any allegation that our marks or trade dress infringe the rights of a third party, could require us to rebrand affected products and could adversely affect our business and reputation.

15. We are dependent on our Promoters and a limited number of key managerial personnel, and our Company had 148 employees as at the date of this Draft Red Herring Prospectus.

Our success depends substantially upon the continued services of our Promoters, Ananya Deshpande and Rohan Kulkarni, who are our Managing Director and Whole-time Director respectively, and of our Key Managerial Personnel. Competition for personnel with relevant experience in the packaged foods industry is intense. The loss of the services of any of our Promoters or Key Managerial Personnel, or our inability to attract and retain suitably qualified personnel to support our growth, could adversely affect our business and our ability to implement our strategies.

16. We have entered into related party transactions and may continue to do so in the future.

In Fiscal 2023, the aggregate value of our related party transactions was ₹184.00 lakh, and comprised, among other things, transactions with Satvik Agri Sourcing LLP and the lease of premises from a member of our Promoter Group.

While our Company believes that all such transactions have been conducted on an arm's length basis and have been approved by our Audit Committee in accordance with Section 188 of the Companies Act, 2013 and Regulation 23 of the SEBI Listing Regulations, we cannot assure you that we could not have obtained more favourable terms had such transactions been entered into with unrelated parties. For further details, see "Other Financial Information" beginning on page 52.

17. Options granted under our ESOP Scheme may result in the dilution of your shareholding.

Options exercisable into Equity Shares representing 6.10% of our pre-Issue paid-up Equity Share capital have been reserved under our ESOP Scheme. Any exercise of such options will result in a corresponding dilution of the shareholding of the investors who subscribe in the Issue, and any issuance of Equity Shares at an exercise price below the Issue Price will further dilute the value of their holding.

EXTERNAL RISK FACTORS

18. Our business is dependent on consumer preferences in the packaged foods sector, which may change.

Our portfolio is concentrated in millet-based foods, cold-pressed oils and health mixes, the demand for which depends upon prevailing consumer perceptions as to health, nutrition and convenience. Consumer preferences in the packaged foods sector are influenced by, among other things, media commentary, dietary trends, regulatory changes in relation to labelling and nutritional declarations, and pricing. Any adverse change in consumer perception in relation to millets or to the categories in which we operate, or the emergence of a competing category, could result in a decline in demand for our products.

19. We operate in a highly competitive industry.

The Indian packaged foods industry is highly competitive and includes established national and multinational companies, regional players and a substantial unorganised segment, several of which have greater financial resources, wider distribution and longer-established brands than us. Increased competition may require us to increase promotional spending, reduce prices or offer higher trade margins, any of which could adversely affect our results of operations.

20. Changing laws, rules and regulations and legal uncertainties, including adverse application of tax laws, may adversely affect our business.

The regulatory and policy environment in which we operate is evolving and subject to change. Any change in the food safety, labelling, legal metrology, environmental, labour or taxation regimes applicable to us, or in the interpretation or enforcement thereof, may require us to modify our products, packaging, processes or contractual arrangements and may result in increased compliance costs.

21. Natural calamities, adverse monsoon conditions and pandemics could adversely affect the Indian economy and our operations.

Our raw materials are agricultural commodities, the availability and price of which depend upon monsoon conditions and the incidence of drought, flood, pest infestation and other natural events. Further, any outbreak of contagious disease, or the imposition of restrictions on movement, manufacturing or retail activity in response thereto, could disrupt our manufacturing operations, our supply chain and consumer demand.

RISKS RELATING TO THE EQUITY SHARES AND THE ISSUE

22. Our Equity Shares have never been publicly traded and the Issue may not result in an active or liquid market for the Equity Shares.

Prior to the Issue, there has been no public market for our Equity Shares. The Issue Price will be determined by our Company in consultation with the Lead Manager through the Book Building Process and may not be indicative of the market price of the Equity Shares after listing. The Equity Shares are proposed to be listed on the SME Platform of NSE, on which trading volumes are generally lower and the minimum bid lot of 1200 Equity Shares is substantially

higher than on the main board. Accordingly, an active or liquid trading market for the Equity Shares may not develop or be sustained after the Issue, and the price at which the Equity Shares trade may be subject to significant volatility.

23. The Issue Price of the Equity Shares may not be indicative of the market price of the Equity Shares after the Issue, and the quantitative factors on which the Issue Price is based have limitations.

The Issue Price will be determined on the basis of the assessment of market demand through the Book Building Process and on the basis of the quantitative and qualitative factors described in “Basis for Issue Price” beginning on page 29. The peer group companies identified in that section may not be strictly comparable to our Company in terms of scale of operations, product mix, capital structure or the exchange platform on which their equity shares are listed. Prospective investors should not consider the peer comparison presented therein to be a representation as to the value of the Equity Shares.

24. Our Company will not receive any proceeds attributable to the Market Maker Reservation Portion in a manner that alters the Objects, and the deployment of the Net Proceeds is not subject to monitoring by a monitoring agency.

The Issue size is less than ₹10,000.00 lakh, and accordingly the appointment of a monitoring agency under Regulation 262(1) of the SEBI ICDR Regulations is not required. The deployment of the Net Proceeds will therefore be monitored only by our Audit Committee, and no independent agency will monitor the utilisation of the Net Proceeds. Further, the objects of the Issue have not been appraised by any bank or financial institution.

25. Sales of Equity Shares by our Promoters or other significant Shareholders after the expiry of the applicable lock-in period may adversely affect the trading price of the Equity Shares.

Equity Shares held by our Promoters constituting 20% of our post-Issue paid-up Equity Share capital, being 18,21,820 Equity Shares, will be locked in for a period of three years from the date of Allotment, and the balance of the pre-Issue Equity Share capital will be locked in for the period prescribed under Regulation 238 of the SEBI ICDR Regulations. Any sale of a substantial number of Equity Shares by our Promoters or other significant Shareholders after the expiry of the applicable lock-in period, or the perception that such a sale may occur, could adversely affect the trading price of the Equity Shares.

26. Investors will be subject to market risk until the Equity Shares are credited and listed, and QIBs and Non-Institutional Bidders may not withdraw or lower their Bids after the Bid/Issue Closing Date.

Pursuant to the SEBI ICDR Regulations, QIBs and Non-Institutional Bidders are not permitted to withdraw or lower the quantity or the price of their Bids after the Bid/Issue Closing Date. Retail Individual Bidders may revise or withdraw their Bids until the Bid/Issue Closing Date. While our Company is required to complete Allotment and listing within the timelines prescribed under applicable law, events affecting the Bidders’ decision to invest, including adverse changes in international or national monetary policy or financial markets, may arise between the date of submission of the Bid and Allotment. Investors will accordingly bear the market risk in respect of the Equity Shares for that period.

27. Rights of shareholders under Indian law may be more limited than under the laws of other jurisdictions, and investors may face difficulty in enforcing foreign judgments against our Company or our management.

Our Company is incorporated under the laws of India and all of our Directors and Key Managerial Personnel are resident in India. Indian legal principles relating to corporate procedures, directors’ fiduciary duties, liability and shareholders’ rights may differ from those that would apply to a company incorporated in another jurisdiction. Shareholders may accordingly have more difficulty in asserting their rights as a shareholder of our Company than they would as a shareholder of a company incorporated in another jurisdiction. Further, India is not a party to any treaty providing for the reciprocal enforcement of judgments of the courts of every jurisdiction, and an award of damages by a foreign court may not be enforceable in India.

28. Any future issuance of Equity Shares may dilute your shareholding, and holders of Equity Shares may be restricted in their ability to exercise pre-emptive rights under Indian law.

Any future issuance of Equity Shares by our Company may dilute the shareholding of investors who subscribe in the Issue. Further, under the Companies Act, 2013, a company incorporated in India must offer its equity shareholders pre-emptive rights to subscribe to and pay for a proportionate number of shares to maintain their existing ownership percentages prior to the issuance of any new equity shares, unless such rights have been waived by a special resolution. Shareholders who are located in jurisdictions in which such an offer would require registration or qualification may be unable to exercise such pre-emptive rights unless our Company makes the requisite filing in that jurisdiction, which it is under no obligation to do.

29. You may be subject to Indian taxes arising out of capital gains on the sale of the Equity Shares, and our ability to pay dividends in the future will depend on our earnings and financial condition.

Capital gains arising from the sale of equity shares in an Indian company are generally taxable in India, and the rate and manner of such taxation depends upon the period of holding, the residential status of the seller and the applicability of any double taxation avoidance agreement. Separately, our Company has not declared any dividend in the three Financial Years preceding the date of this Draft Red Herring Prospectus. Our ability to pay dividends in the future will depend on our earnings, financial condition, cash flows, working capital and capital expenditure requirements, and on the restrictive covenants contained in our financing arrangements. For further details, see “Dividend Policy” and “Statement of Special Tax Benefits” beginning on pages 50, 33, respectively.

30. The industry information included in this Draft Red Herring Prospectus has been derived from a report commissioned and paid for by our Company.

Industry and market data used in this Draft Red Herring Prospectus has been derived in part from the Industry Report, which has been commissioned and paid for by our Company exclusively in connection with the Issue. The Industry Report is subject to the methodologies, assumptions and limitations stated therein, and its conclusions are based on estimates and information available as at specific dates. Neither our Company, our Directors, the Lead Manager nor any other person connected with the Issue has independently verified the data contained therein. Prospective investors are advised not to place undue reliance on such information.

SECTION III: INTRODUCTION

THE ISSUE

The following table summarises the details of the Issue. This table should be read in conjunction with “The Issue”, “Issue Structure”, “Issue Procedure” and “Terms of the Issue” beginning on pages 16, 71, 72 and 69, respectively.

Particulars	Details
Issue of Equity Shares(1)	Up to 29,09,100 Equity Shares of face value of ₹10 each, aggregating up to ₹3,200.00 lakh
of which:	
Market Maker Reservation Portion	Up to 1,45,455 Equity Shares aggregating up to ₹[●] lakh
Net Issue to the public	Up to 27,63,645 Equity Shares aggregating up to ₹[●] lakh
of which:	
A. QIB Portion(2)	Not more than 13,81,822 Equity Shares
<i>of which:</i>	
Anchor Investor Portion	Up to [●] Equity Shares
Balance available for allocation to QIBs other than Anchor Investors	[●] Equity Shares
<i>of which:</i>	
Available for allocation to Mutual Funds only (5% of the Net QIB Portion)	[●] Equity Shares
Balance for all QIBs including Mutual Funds	[●] Equity Shares
B. Non-Institutional Portion	Not less than 4,14,547 Equity Shares
C. Retail Portion	Not less than 9,67,276 Equity Shares
Pre-Issue Equity Shares outstanding	62,00,000 Equity Shares
Post-Issue Equity Shares outstanding	91,09,100 Equity Shares
Use of Net Proceeds	See “Objects of the Issue” beginning on page 25 for information on the use of the Net Proceeds. Our Company will not receive any proceeds other than the Net Proceeds of the Fresh Issue.

(1) The Issue has been authorised by a resolution of our Board dated February 18, 2026 and by a special resolution of our Shareholders passed at the extraordinary general meeting held on March 4, 2026 in terms of Section 62(1)(c) of the Companies Act, 2013.

(2) Our Company, in consultation with the Lead Manager, may allocate up to 60% of the QIB Portion to Anchor Investors on a discretionary basis in accordance with the SEBI ICDR Regulations, of which one-third shall be reserved for domestic Mutual Funds, subject to valid Bids being received at or above the Anchor Investor Allocation Price. In the event of under-subscription or non-allocation in the Anchor Investor Portion, the balance Equity Shares shall be added to the QIB Portion.

(3) Under-subscription, if any, in any category, except the QIB Portion, would be allowed to be met with spill-over from any other category or combination of categories, at the discretion of our Company in consultation with the Lead Manager and the Designated Stock Exchange, subject to applicable law. In the event of under-subscription in the Issue, Allotment shall be made in accordance with Regulation 253(2) of the SEBI ICDR Regulations.

(4) Allocation to all categories, except the Anchor Investor Portion and the Retail Portion, shall be made on a proportionate basis, subject to valid Bids being received at or above the Issue Price. The allocation to each Retail Individual Bidder shall not be less than the minimum Bid lot, subject to availability of Equity Shares in the Retail Portion, and the remaining available Equity Shares, if any, shall be allotted on a proportionate basis.

SUMMARY OF FINANCIAL INFORMATION

The following tables set forth a summary of the financial information of our Company derived from the Restated Financial Information as at and for the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021. The summary financial information presented below should be read in conjunction with “Restated Financial Information” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 51 and 56, respectively.

Summary of Restated Statement of Assets and Liabilities

(₹ in lakh)

Particulars	As at March 31, 2023	As at March 31, 2022	As at March 31, 2021
Total non-current assets	[●]	[●]	[●]
Total current assets	[●]	[●]	[●]
Total assets	[●]	[●]	[●]
Equity share capital	620.00	620.00	[●]
Other equity	1,232.00	614.00	[●]
Total equity (net worth)	1,852.00	1,234.00	892.00
Total non-current liabilities	[●]	[●]	[●]
Total current liabilities	[●]	[●]	[●]
Total equity and liabilities	[●]	[●]	[●]

Note: Equity share capital as at March 31, 2021 is to be inserted upon reconciliation of the register of members with the bonus issue undertaken in July 2022. See “Capital Structure” beginning on page 22.

Summary of Restated Statement of Profit and Loss

(₹ in lakh, except per share data)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Revenue from operations	4,863.00	3,421.00	2,184.00
Other income	[●]	[●]	[●]
Total income	[●]	[●]	[●]
Total expenses	[●]	[●]	[●]
EBITDA(1)	712.00	468.00	262.00
Profit before tax	[●]	[●]	[●]
Total tax expense	[●]	[●]	[●]
Restated profit for the year	421.00	258.00	96.00
Earnings per Equity Share – Basic (in ₹)(2)	6.79	4.16	1.55
Earnings per Equity Share – Diluted (in ₹)(2)	[●]	[●]	[●]

(1) EBITDA is a non-GAAP financial measure and is calculated as restated profit for the year plus total tax expense, finance costs and depreciation and amortisation expense, less other income. It has been certified by [●], Chartered Accountants, by way of their certificate dated [●].

(2) Basic earnings per Equity Share has been computed on the weighted average number of Equity Shares outstanding during the relevant Financial Year, as adjusted for the bonus issue made in July 2022 in accordance with Ind AS 33. Diluted earnings per Equity Share is to be inserted upon computation of the dilutive effect of the options outstanding under the ESOP Scheme.

Summary of Restated Statement of Cash Flows

(₹ in lakh)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Net cash generated from operating activities	604.00	386.00	142.00

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Net cash used in investing activities	(210.00)	(175.00)	(305.00)
Net cash (used in)/generated from financing activities	(70.00)	(110.00)	80.00
Net increase/(decrease) in cash and cash equivalents	[●]	[●]	[●]
Cash and cash equivalents at the end of the year	[●]	[●]	[●]

Note: Net cash used in investing activities has been presented on the basis of capital expenditure incurred during the relevant Financial Year. The complete restated statement of cash flows, including the movement in other investing and financing line items, is set out in “Restated Financial Information” beginning on page 51.

GENERAL INFORMATION

For details in relation to our incorporation and changes to our name and Registered Office, see “History and Certain Corporate Matters” beginning on page 42. For details of the business of our Company, see “Our Business” beginning on page 36.

Registered Office of our Company

Satvik Foods Limited
Plot 42, Baner Industrial Estate, Baner, Pune 411 045, Maharashtra, India
Tel: [●]; E-mail: [●]; Website: www.satvikfoods.in
Corporate Identity Number: U15490PN2016PTC167432

Note: The corporate identity number set out above is to be updated to reflect the conversion of our Company into a public limited company on January 22, 2026, upon the revised number being reflected in the records of the Ministry of Corporate Affairs.

Address of the RoC

Our Company is registered with the Registrar of Companies, Pune, situated at the address set out below.

Registrar of Companies, Pune
[●]

Filing of this Draft Red Herring Prospectus

A copy of this Draft Red Herring Prospectus has been filed with the SME Platform of the National Stock Exchange of India Limited in accordance with Regulation 246 of the SEBI ICDR Regulations. In terms of Regulation 246(2) of the SEBI ICDR Regulations, this Draft Red Herring Prospectus is not required to be filed with the SEBI; however, a copy shall be furnished to the SEBI for its records in the manner prescribed. A copy of the Red Herring Prospectus, along with the material contracts and documents required to be filed under Section 32 of the Companies Act, 2013, will be filed with the RoC, and a copy of the Prospectus shall be filed under Section 26 of the Companies Act, 2013 with the RoC at its office.

Board of Directors of our Company

As at the date of this Draft Red Herring Prospectus, the composition of our Board is as set out below.

Name	Designation	DIN	Address
Ananya Deshpande	Managing Director	[●]	[●]
Rohan Kulkarni	Whole-time Director	[●]	[●]
S. Iyer	Independent Director	[●](1)	[●]
Meera Nair	Independent Director	[●]	[●]

(1) The director identification number of Mr. S. Iyer is awaiting validation by the Ministry of Corporate Affairs as at the date of this Draft Red Herring Prospectus. For further details, see “Risk Factors — 13. The identification number of one of our Independent Directors is pending validation, and our Board composition disclosure is subject to such validation.” on page 9.

For brief profiles of our Directors, see “Our Management” beginning on page 44.

Company Secretary and Compliance Officer

[●]
Plot 42, Baner Industrial Estate, Baner, Pune 411 045, Maharashtra, India
Tel: [●]; E-mail: [●]

Investor Grievances

Bidders may contact our Company Secretary and Compliance Officer, the Lead Manager or the Registrar to the Issue in case of any pre-Issue or post-Issue related problems, such as non-receipt of letters of Allotment, non-credit of Allotted Equity Shares in the respective beneficiary account, non-receipt of refund intimations and non-receipt of

funds by electronic mode. All grievances in relation to the Bidding process may be addressed to the Registrar to the Issue with a copy to the relevant Designated Intermediary, giving full details such as name of the sole or first Bidder, Bid cum Application Form number, Bidder's DP ID, Client ID, UPI ID, PAN, address of the Bidder, number of Equity Shares applied for, the name and address of the Designated Intermediary where the Bid cum Application Form was submitted by the Bidder, ASBA Account number, and the UPI ID in the case of Retail Individual Bidders using the UPI Mechanism.

Lead Manager

Meridian Capital Advisors LLP

Address: [●]; Tel: [●]; E-mail: [●]

Investor Grievance E-mail: [●]; Website: [●]

Contact Person: [●]; SEBI Registration No.: [●]

Registrar to the Issue

Bigshare Services Private Limited

Address: [●]; Tel: [●]; E-mail: [●]

Investor Grievance E-mail: [●]; Website: [●]

Contact Person: [●]; SEBI Registration No.: [●]

Designated Market Maker

Anchor Securities Private Limited

Address: [●]; Tel: [●]; E-mail: [●]; SEBI Registration No.: [●]

Our Company has entered into a market making agreement dated [●] with the Lead Manager and the Designated Market Maker, pursuant to which the Designated Market Maker has agreed to provide two-way quotes in the Equity Shares on the SME Platform of NSE for a minimum period of three years from the date of listing, in accordance with Regulation 261 of the SEBI ICDR Regulations and the circulars issued by the SEBI and NSE in this regard.

Statutory Auditors of our Company

[●], Chartered Accountants

Address: [●]; Tel: [●]; E-mail: [●]

Firm Registration No.: [●]; Peer Review Certificate No.: [●]

Changes in the Statutory Auditors

There has been no change in the statutory auditors of our Company during the three years immediately preceding the date of this Draft Red Herring Prospectus, except as disclosed below.

Particulars	Date of change	Reason for change
[●]	[●]	[●]

Legal Counsel to the Issue

[●]

Bankers to our Company

Bank of Maharashtra

Address: [●]; Tel: [●]; E-mail: [●]; Contact Person: [●]

Banker(s) to the Issue, Sponsor Bank and Refund Bank

[●]

Syndicate Member

[●]

Self-Certified Syndicate Banks

The list of SCSBs notified by the SEBI for the ASBA process is available on the website of the SEBI at www.sebi.gov.in, and is updated from time to time. A list of the branches of the SCSBs named by the respective SCSBs to receive Bid cum Application Forms from the Designated Intermediaries is available on the website of the SEBI and at such other websites as may be prescribed by the SEBI from time to time.

Monitoring Agency

Our Company is not required to appoint a monitoring agency for the Issue, as the Issue size is less than ₹10,000.00 lakh, in terms of Regulation 262(1) of the SEBI ICDR Regulations. The utilisation of the Net Proceeds shall be monitored by our Audit Committee in accordance with Regulation 32 of the SEBI Listing Regulations.

Appraising Entity

None of the objects of the Issue for which the Net Proceeds will be utilised have been appraised by any bank, financial institution or any other agency.

Credit Rating

As the Issue is of Equity Shares, there is no requirement of obtaining a credit rating for the Issue.

IPO Grading

No credit agency registered with the SEBI has been appointed for grading the Issue.

Debenture Trustees

As the Issue is of Equity Shares, the appointment of a debenture trustee is not required.

Inter-se Allocation of Responsibilities

As Meridian Capital Advisors LLP is the sole Lead Manager to the Issue, the inter-se allocation of responsibilities among book running lead managers is not applicable. All the responsibilities in relation to the Issue shall be discharged by the Lead Manager.

Underwriting

The Issue is 100% underwritten. Our Company and the Lead Manager have entered into an underwriting arrangement pursuant to which the Lead Manager has agreed to underwrite the Issue to the extent of [●]% of the Issue size, including 15% of the Issue size on its own books in accordance with Regulation 260 of the SEBI ICDR Regulations. The Underwriting Agreement is dated [●] and shall be executed on or after the Pricing Date but prior to the filing of the Prospectus with the RoC.

Book Building Process

The Book Building Process, in the context of the Issue, refers to the process of collection of Bids from Bidders on the basis of the Red Herring Prospectus and the Bid cum Application Forms within the Price Band, which will be decided by our Company in consultation with the Lead Manager, and advertised in the newspapers at least two Working Days prior to the Bid/Issue Opening Date. The Issue Price shall be determined by our Company in consultation with the Lead Manager after the Bid/Issue Closing Date. For further details, see “Issue Procedure” beginning on page 72.

Withdrawal of the Issue

Our Company, in consultation with the Lead Manager, reserves the right not to proceed with the whole or any part of the Issue at any time after the Bid/Issue Opening Date but before the Allotment. In such an event, our Company shall issue a public notice in the newspapers in which the pre-Issue advertisement was published, within two days of the Bid/Issue Closing Date or such other time as may be prescribed by the SEBI, providing reasons for not proceeding with the Issue, and shall inform the Stock Exchange promptly on withdrawal of the Issue. If our Company withdraws the Issue after the Bid/Issue Closing Date and thereafter determines that it will proceed with an issue of the Equity Shares, our Company shall file a fresh draft red herring prospectus with the Stock Exchange.

CAPITAL STRUCTURE

The Equity Share capital of our Company, as at the date of this Draft Red Herring Prospectus, is set forth below.

(₹, except share data)

S. No.	Particulars	Aggregate value at face value	Aggregate value at Issue Price*
A	AUTHORISED SHARE CAPITAL		
	1,20,00,000 Equity Shares of face value of ₹10 each(1)	12,00,00,000	—
B	ISSUED, SUBSCRIBED AND PAID-UP SHARE CAPITAL BEFORE THE ISSUE		
	62,00,000 Equity Shares of face value of ₹10 each	6,20,00,000	—
C	PRESENT ISSUE IN TERMS OF THIS DRAFT RED HERRING PROSPECTUS		
	Fresh Issue of up to 29,09,100 Equity Shares aggregating up to ₹3,200.00 lakh(2)	2,90,91,000	[●]
	of which: Market Maker Reservation Portion of up to 1,45,455 Equity Shares	14,54,550	[●]
D	ISSUED, SUBSCRIBED AND PAID-UP SHARE CAPITAL AFTER THE ISSUE		
	91,09,100 Equity Shares of face value of ₹10 each	9,10,91,000	[●]
E	SECURITIES PREMIUM ACCOUNT		
	Before the Issue	[●]	
	After the Issue	[●]	

* To be included upon finalisation of the Issue Price and the Basis of Allotment.

(1) For details in relation to the changes in the authorised share capital of our Company, see “History and Certain Corporate Matters — Amendments to our Memorandum of Association” on page 42.

(2) The Issue has been authorised by a resolution of our Board dated February 18, 2026 and by a special resolution of our Shareholders dated March 4, 2026, passed at an extraordinary general meeting at which 96.5% of the votes cast were in favour of the resolution.

Notes to the Capital Structure

1. Share capital history of our Company

The history of the equity share capital of our Company is set out below.

Date of allotment	No. of equity shares allotted	Face value (₹)	Issue price (₹)	Nature of allotment	Nature of consideration	Cumulative no. of equity shares	Cumulative paid-up capital (₹)
March 14, 2016	[●]	10	[●]	Subscription to the Memorandum of Association	Cash	[●]	[●]
[●]	[●]	10	[●]	Preferential allotment	Cash	[●]	[●]
July [●], 2022	[●]	10	Nil	Bonus issue(1)	Other than cash	[●]	[●]
Total	62,00,000					62,00,000	6,20,00,000

(1) Bonus issue made in July 2022 out of the free reserves and the securities premium account of our Company, pursuant to a resolution of our Board dated [●] and a resolution of our Shareholders dated [●]. The complete allotment ledger, including the number of equity shares allotted on each date, the issue price and the allottees, is to be inserted upon reconciliation with the register of members maintained under Section 88 of the Companies Act, 2013.

(2) Our Company has not issued any equity shares for consideration other than cash, other than by way of the bonus issue referred to above, and has not made any allotment pursuant to any scheme of arrangement approved under Sections 230 to 232 of the Companies Act, 2013.

2. Shareholding pattern of our Company

The shareholding pattern of our Company as at the date of this Draft Red Herring Prospectus, and as adjusted for the Issue, is set out below.

Name of the Shareholder	Category	Pre-Issue no. of Equity Shares	Pre-Issue (%)	Post-Issue no. of Equity Shares	Post-Issue (%)
Ananya Deshpande	Promoter	21,20,400	34.20	21,20,400	23.28
Rohan Kulkarni	Promoter	17,73,200	28.60	17,73,200	19.47
Kartik Gaikwad	Angel Investor	4,34,000	7.00	4,34,000	4.76
Om Bhorkade	Angel Investor	3,72,000	6.00	3,72,000	4.08
Sahil Gadam	Investor	3,41,000	5.50	3,41,000	3.74
Khushi Chakke	Investor	3,10,000	5.00	3,10,000	3.40
Vansh Jaiswal	Investor	2,54,200	4.10	2,54,200	2.79
ESOP Pool(3)	Employees	3,78,200	6.10	3,78,200	4.15
Others	—	2,17,000	3.50	2,17,000	2.38
Public (pursuant to the Issue)	—	—	—	29,09,100	31.94
Total		62,00,000	100.00	91,09,100	100.00

(1) The post-Issue shareholding has been computed assuming full subscription in the Issue and the Allotment of the entire Market Maker Reservation Portion.

(2) Percentages have been rounded off to two decimal places and accordingly may not aggregate to 100.00.

(3) Represents Equity Shares in respect of the employee stock option pool of our Company, constituting 6.10% of the pre-Issue Equity Share capital. The classification of these Equity Shares as issued and outstanding, or as reserved for issuance upon the exercise of options granted under the ESOP Scheme, is to be confirmed and the shareholding pattern updated accordingly prior to the filing of the Red Herring Prospectus with the RoC.

(4) As certified by [●], Chartered Accountants, by way of their certificate dated [●].

3. Shareholding of our Promoters

As at the date of this Draft Red Herring Prospectus, our Promoters hold 38,93,600 Equity Shares, constituting 62.80% of the pre-Issue issued, subscribed and paid-up Equity Share capital of our Company. Following the Issue, our Promoters will hold 38,93,600 Equity Shares, constituting 42.74% of the post-Issue Equity Share capital, assuming full subscription in the Issue.

None of the Equity Shares held by our Promoters are subject to any pledge as at the date of this Draft Red Herring Prospectus.

4. Minimum Promoters' contribution and lock-in

In terms of Regulation 236 and Regulation 238 of the SEBI ICDR Regulations, an aggregate of 20% of the post-Issue Equity Share capital of our Company held by our Promoters, being 18,21,820 Equity Shares, shall be locked in for a period of three years from the date of Allotment, and our Promoters' shareholding in excess of 20% of the post-Issue Equity Share capital, together with the entire pre-Issue Equity Share capital held by persons other than our Promoters, shall be locked in for a period of one year from the date of Allotment, or for such other period as may be prescribed under the SEBI ICDR Regulations.

Our Promoters have given their consent to include such number of Equity Shares held by them as constitutes the minimum Promoters' contribution, and have agreed not to sell, transfer, charge, pledge or otherwise encumber in any manner the Equity Shares forming part of the minimum Promoters' contribution from the date of filing of this Draft Red Herring Prospectus until the expiry of the lock-in period specified above, or for such other time as may be required under the SEBI ICDR Regulations. The Equity Shares forming part of the minimum Promoters' contribution are eligible for computation of the minimum Promoters' contribution in terms of Regulation 237 of the SEBI ICDR Regulations, and are not, and have not been, acquired in the three years preceding the date of this Draft Red Herring Prospectus for consideration other than cash or by way of a bonus issue out of revaluation reserves or unrealised profits.

Note: The eligibility of the Equity Shares proposed to be locked in as minimum Promoters' contribution is subject to confirmation in respect of the bonus issue made in July 2022, and is to be certified by [●], Chartered Accountants, prior to the filing of the Red Herring Prospectus.

5. Details of Shareholders holding 1% or more of the paid-up Equity Share capital

The details of the Shareholders holding 1% or more of the paid-up Equity Share capital of our Company as at the date of this Draft Red Herring Prospectus, as at ten days prior to the date of this Draft Red Herring Prospectus, as at one year prior and as at two years prior, are set out below.

Name of the Shareholder	As at the date of this DRHP (%)	Ten days prior (%)	One year prior (%)	Two years prior (%)
Ananya Deshpande	34.20	[●]	[●]	[●]
Rohan Kulkarni	28.60	[●]	[●]	[●]
Kartik Gaikwad	7.00	[●]	[●]	[●]
Om Bhorkade	6.00	[●]	[●]	[●]
Sahil Gadam	5.50	[●]	[●]	[●]
Khushi Chakke	5.00	[●]	[●]	[●]
Vansh Jaiswal	4.10	[●]	[●]	[●]

6. Employee stock option scheme

Our Company has instituted the ESOP Scheme, under which options exercisable into Equity Shares representing 6.10% of the pre-Issue paid-up Equity Share capital of our Company have been reserved. The details of the options granted, vested, exercised, lapsed and outstanding under the ESOP Scheme, and the disclosures required under Regulation 246(5) read with Schedule VI of the SEBI ICDR Regulations, are set out below.

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Options outstanding at the beginning of the year	[●]	[●]	[●]
Options granted during the year	[●]	[●]	[●]
Options vested during the year	[●]	[●]	[●]
Options exercised during the year	[●]	[●]	[●]
Options lapsed/forfeited during the year	[●]	[●]	[●]
Options outstanding at the end of the year	[●]	[●]	[●]
Weighted average exercise price (₹)	[●]	[●]	[●]

7. Other confirmations

- Our Company has not made any public issue or rights issue of any kind or class of securities since its incorporation.
- Our Company does not contemplate any issuance or placement of Equity Shares from the date of this Draft Red Herring Prospectus until the listing of the Equity Shares.
- None of our Promoters, the members of our Promoter Group, our Directors or their relatives has purchased or sold any securities of our Company during the period of six months immediately preceding the date of this Draft Red Herring Prospectus, except as disclosed in this section.
- There have been no financing arrangements whereby our Promoters, the members of our Promoter Group, our Directors or their relatives have financed the purchase by any other person of securities of our Company, other than in the normal course of the business of the financing entity, during the six months immediately preceding the date of this Draft Red Herring Prospectus.
- Our Company has [●] Shareholders as at the date of this Draft Red Herring Prospectus.
- All Equity Shares issued pursuant to the Issue shall be fully paid-up at the time of Allotment, and there are no partly paid-up Equity Shares as at the date of this Draft Red Herring Prospectus.

OBJECTS OF THE ISSUE

The Issue comprises a Fresh Issue of up to 29,09,100 Equity Shares aggregating up to ₹3,200.00 lakh by our Company.

The Objects of the Issue

Our Company proposes to utilise the Net Proceeds towards funding the following objects:

- (a) setting up a new millet-processing line at our manufacturing facility at Baner, Pune;
- (b) funding the incremental working capital requirements of our Company;
- (c) brand-building and digital marketing expenditure; and
- (d) general corporate purposes.

(collectively, the “Objects”).

In addition, our Company expects to receive the benefits of listing the Equity Shares on the SME Platform of NSE, including the enhancement of our visibility and brand image among our existing and potential customers, and the creation of a public market for the Equity Shares in India.

The main objects clause and the objects incidental and ancillary to the main objects set out in our Memorandum of Association enable our Company (i) to undertake its existing business activities; and (ii) to undertake the activities for which the funds are being raised by our Company through the Issue.

Net Proceeds

The details of the proceeds of the Fresh Issue are summarised in the table below.

(₹ in lakh)

Particulars	Estimated amount
Gross proceeds of the Fresh Issue	3,200.00
(Less) Issue related expenses to be borne by our Company(1)	260.00
Net Proceeds	2,940.00

(1) Issue related expenses are estimated and will be finalised and incorporated in the Prospectus upon determination of the Issue Price.

Utilisation of the Net Proceeds

The Net Proceeds are proposed to be utilised in accordance with the details set out in the table below.

(₹ in lakh)

Particulars	Amount to be funded from the Net Proceeds	Percentage of the Net Proceeds (%)
Setting up a new millet-processing line at our Baner facility	1,300.00	44.22
Funding the incremental working capital requirements of our Company	900.00	30.61
Brand-building and digital marketing expenditure	450.00	15.31
General corporate purposes(1)	290.00	9.86
Total	2,940.00	100.00

(1) The amount to be utilised for general corporate purposes shall not exceed the lower of 15% of the gross proceeds of the Fresh Issue, being ₹480.00 lakh, and ₹1,000.00 lakh, in accordance with the SEBI ICDR Regulations. The amount proposed to be deployed towards general corporate purposes, being ₹290.00 lakh, is within the said limit.

Proposed schedule of implementation and deployment of the Net Proceeds

(₹ in lakh)

Particulars	Amount to be funded from the Net Proceeds	Amount deployed as at [●]	Estimated deployment in Fiscal [●]	Estimated deployment in Fiscal [●]
New millet-processing line	1,300.00	[●]	[●]	[●]
Incremental working capital	900.00	[●]	[●]	[●]
Brand-building and digital marketing	450.00	[●]	[●]	[●]
General corporate purposes	290.00	[●]	[●]	[●]
Total	2,940.00	[●]	[●]	[●]

Means of finance

The requirement of funds for the Objects is proposed to be met entirely from the Net Proceeds and from our internal accruals. Accordingly, no amount is required to be raised through borrowings or any other means, and the requirement under Regulation 230(1)(e) of the SEBI ICDR Regulations in relation to firm arrangements of finance for 75% of the stated means of finance, excluding the amount to be raised through the Fresh Issue and existing identifiable internal accruals, has been complied with.

Details of the Objects

1. Setting up a new millet-processing line at our Baner facility

Our Company proposes to deploy ₹1,300.00 lakh out of the Net Proceeds towards the establishment of an additional millet-processing line at our existing manufacturing facility at Plot 42, Baner Industrial Estate, Baner, Pune. The proposed line is intended to increase our installed processing capacity and to enable the manufacture of additional stock keeping units within the millet-based foods category. The break-up of the estimated cost, comprising civil works, plant and machinery, electrical and utility installations and contingencies, together with the details of the quotations obtained in respect thereof, is set out below.

(₹ in lakh)

Particulars	Estimated cost	Name of the vendor	Date of quotation
Civil and structural works	[●]	[●]	[●]
Plant and machinery	[●]	[●]	[●]
Electrical installations and utilities	[●]	[●]	[●]
Contingencies	[●]	—	—
Total	1,300.00		

Note: The quotations obtained by our Company in respect of the plant and machinery proposed to be acquired are valid as at the date indicated above. Our Company has not entered into any definitive agreements with the vendors and there can be no assurance that the same vendors would be engaged to eventually supply the plant and machinery, or at the same costs.

2. Funding the incremental working capital requirements of our Company

Our business is working capital intensive, principally on account of the inventory required to service the modern trade and quick commerce channels and the credit extended to channel partners. Our Company proposes to deploy ₹900.00 lakh out of the Net Proceeds towards funding its incremental working capital requirements for Fiscal [●]. The balance of the working capital requirement is proposed to be funded from internal accruals and existing sanctioned working capital facilities. The details of our Company's working capital position, the assumptions in relation to the holding levels of current assets and current liabilities and the justification therefor, are set out below.

(₹ in lakh)

Particulars	Fiscal 2023 (Actual)	Fiscal 2022 (Actual)	Fiscal 2021 (Actual)	Fiscal [●] (Estimated)
Inventories	[●]	[●]	[●]	[●]
Trade receivables	[●]	[●]	[●]	[●]

Particulars	Fiscal 2023 (Actual)	Fiscal 2022 (Actual)	Fiscal 2021 (Actual)	Fiscal [●] (Estimated)
Total current assets	[●]	[●]	[●]	[●]
Trade payables	[●]	[●]	[●]	[●]
Total current liabilities	[●]	[●]	[●]	[●]
Net working capital	[●]	[●]	[●]	[●]

Note: The working capital requirements set out above have been estimated by our management on the basis of the assumptions stated in this section and have not been appraised by any bank or financial institution. The estimates are to be certified by [●], Chartered Accountants.

3. Brand-building and digital marketing expenditure

Our Company proposes to deploy ₹450.00 lakh out of the Net Proceeds towards brand-building and digital marketing expenditure over Fiscals [●] and [●], comprising performance marketing spends on digital and quick commerce platforms, trade and consumer promotions in the modern trade channel, and brand campaigns. The proposed deployment is based on our management's estimates of the customer acquisition cost and channel spends required to support the growth of our brand, and has not been appraised by any bank or financial institution.

4. General corporate purposes

Our Company proposes to deploy ₹290.00 lakh out of the Net Proceeds towards general corporate purposes, subject to the limits prescribed under the SEBI ICDR Regulations, including strategic initiatives, brand and technology investments, meeting exigencies and expenses incurred in the ordinary course of business. The allocation or quantum of utilisation of funds towards the specific purposes described above will be determined by our Board based on our business requirements and other relevant considerations from time to time.

Issue related expenses

The total expenses of the Issue are estimated to be approximately ₹260.00 lakh. The Issue related expenses primarily include fees payable to the Lead Manager, the legal counsel, the Registrar to the Issue and the auditors, brokerage and selling commission, underwriting commission, commission payable to Registered Brokers, RTAs and CDPs, SCSBs' fees, Sponsor Bank's fees, printing and stationery expenses, advertising and marketing expenses, and all other incidental and miscellaneous expenses for listing the Equity Shares on the Stock Exchange. All the Issue related expenses shall be borne by our Company, as the Issue comprises only a Fresh Issue.

(₹ in lakh)

Activity	Estimated expenses(1)	As a % of the total estimated Issue expenses(1)	As a % of the total Issue size(1)
Lead Manager's fees and commissions (including underwriting commission, brokerage and selling commission)	[●]	[●]	[●]
Commission, processing fees and brokerage for SCSBs, Registered Brokers, RTAs and CDPs(2)(3)	[●]	[●]	[●]
Fees payable to the Registrar to the Issue	[●]	[●]	[●]
Fees payable to the Designated Market Maker	[●]	[●]	[●]
Others: listing fees, printing and stationery, advertising and marketing, fees payable to legal counsels and auditors, and miscellaneous	[●]	[●]	[●]
Total estimated Issue expenses	260.00	100.00	[●]

(1) Amounts will be finalised and incorporated in the Prospectus on determination of the Issue Price.

(2) Selling commission payable to the SCSBs on the portion for Retail Individual Bidders and Non-Institutional Bidders which is directly procured by the SCSBs would be [●]% of the Amount Allotted (plus applicable taxes).

(3) Processing fees payable to the SCSBs on the portion for Retail Individual Bidders and Non-Institutional Bidders procured by the members of the Syndicate, Registered Brokers, RTAs and CDPs and submitted to the SCSBs for blocking would be ₹[●] per valid Bid cum Application Form (plus applicable taxes).

Interim use of the Net Proceeds

Our Company, in accordance with the policies established by our Board from time to time, will have flexibility to deploy the Net Proceeds. Pending utilisation of the Net Proceeds for the purposes described above, our Company will deposit the Net Proceeds only with scheduled commercial banks included in the Second Schedule to the Reserve Bank of India Act, 1934. In accordance with Section 27 of the Companies Act, 2013, our Company confirms that it shall not use the Net Proceeds for buying, trading or otherwise dealing in the shares of any other listed company or for any investment in the equity markets.

Bridge financing facilities

Our Company has not raised any bridge loans from any bank or financial institution as at the date of this Draft Red Herring Prospectus which are proposed to be repaid from the Net Proceeds.

Monitoring of utilisation of funds

As the Issue size is less than ₹10,000.00 lakh, our Company is not required to appoint a monitoring agency in terms of Regulation 262(1) of the SEBI ICDR Regulations. Our Board and our Audit Committee shall monitor the utilisation of the Net Proceeds, and our Company shall disclose the utilisation of the Net Proceeds, including interim use, under a separate head in its balance sheet for such Financial Years as required under applicable law, specifying the purposes for which the Net Proceeds have been utilised.

Variation in Objects

In accordance with Sections 13(8) and 27 of the Companies Act, 2013, our Company shall not vary the Objects without our Company being authorised to do so by our Shareholders by way of a special resolution, and such variation shall be undertaken in accordance with the applicable provisions of the Companies Act, 2013 and the SEBI ICDR Regulations. In addition, the notice issued to our Shareholders in relation to the passing of such special resolution shall specify the prescribed details and be published in accordance with the Companies Act, 2013 and the rules thereunder.

Other confirmations

No part of the Net Proceeds will be paid by our Company as consideration to our Promoters, the members of our Promoter Group, our Directors, our Key Managerial Personnel or our Group Company, except in the ordinary course of business and in compliance with applicable law.

BASIS FOR ISSUE PRICE

The Price Band and the Issue Price will be determined by our Company in consultation with the Lead Manager on the basis of an assessment of market demand for the Equity Shares offered through the Book Building Process, and on the basis of the quantitative and qualitative factors described below, and is justified in view of these parameters. The face value of the Equity Shares is ₹10 each and the Issue Price is [●] times the Floor Price and [●] times the Cap Price of the Price Band. Investors should also refer to “Risk Factors”, “Our Business”, “Restated Financial Information” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 9, 36, 51 and 56, respectively, to have an informed view before making an investment decision.

Qualitative Factors

Some of the qualitative factors which form the basis for computing the Issue Price are:

- a differentiated portfolio in the millet-based foods, cold-pressed oils and health mixes categories;
- an established consumer brand in “Satvik”, owned by our Company;
- a multi-channel distribution footprint spanning our direct-to-consumer channel, quick commerce platforms and more than 4,200 modern trade outlets;
- backward linkages with farmer producer organisations in Maharashtra and Karnataka for the sourcing of millets;
- a track record of revenue growth, with revenue from operations increasing at a compound annual growth rate of 49.19% between Fiscal 2021 and Fiscal 2023;
- improving operating margins, with EBITDA Margin increasing from 11.99% in Fiscal 2021 to 14.64% in Fiscal 2023; and
- a promoter-led management team with operating experience in the packaged foods industry.

For details, see “Our Business — Our Competitive Strengths” on page 36.

Quantitative Factors

Some of the information presented below relating to our Company is derived from the Restated Financial Information. For details, see “Restated Financial Information” beginning on page 51.

1. Basic and Diluted Earnings per Equity Share (“EPS”) at face value of ₹10 each

Period	Basic EPS (in ₹)	Diluted EPS (in ₹)	Weight
Fiscal 2023	6.79	[●]	3
Fiscal 2022	4.16	[●]	2
Fiscal 2021	1.55	[●]	1
Weighted Average	5.04	[●]	

(1) Weighted average = aggregate of year-wise weighted EPS divided by the aggregate of weights, i.e., (EPS x Weight) for each year divided by the total of weights.

(2) Basic EPS = restated profit for the year attributable to equity shareholders divided by the weighted average number of Equity Shares outstanding during the year, computed in accordance with Ind AS 33 and as adjusted for the bonus issue made in July 2022.

(3) The figures disclosed above are based on the Restated Financial Information.

2. Price/Earnings (“P/E”) ratio in relation to the Price Band

Particulars	P/E at the Floor Price (no. of times)	P/E at the Cap Price (no. of times)
P/E ratio based on Basic EPS for Fiscal 2023	[●]	[●]
P/E ratio based on Diluted EPS for Fiscal 2023	[●]	[●]

Note: On the basis of the indicative price band of ₹104 to ₹110 per Equity Share under consideration by our Company as at the date of this Draft Red Herring Prospectus, the P/E ratio based on Basic EPS for Fiscal 2023 would be 15.32 times at the lower end and 16.20 times at the higher end. The indicative price band is not the Price Band. The Price Band will be determined by our Company in consultation with the Lead Manager and will be advertised at least two Working Days prior to the Bid/Issue Opening Date.

3. Industry Peer Group P/E ratio

Particulars	Industry P/E
Highest	[●]
Lowest	[●]
Average	[●]

Note: The industry high, low and average have been considered from the industry peer set provided later in this chapter. As at the date of this Draft Red Herring Prospectus, our Company has identified two listed industry peers. The peer set is being expanded to include not fewer than three comparable listed companies, and this table together with the peer comparison table set out below will be updated in the Red Herring Prospectus.

4. Return on Net Worth (“RoNW”)

Financial Year	RoNW (%)	Weight
Fiscal 2023	22.73	3
Fiscal 2022	20.91	2
Fiscal 2021	10.76	1
Weighted Average	20.13	

- (1) RoNW (%) is calculated as the restated profit for the year as a percentage of net worth as at the last day of the relevant Financial Year.
- (2) Net worth means the aggregate of the paid-up Equity Share capital and all reserves created out of the profits and the securities premium account, as per the Restated Financial Information.
- (3) Weighted average = aggregate of year-wise weighted RoNW divided by the aggregate of weights.

5. Net Asset Value (“NAV”) per Equity Share of face value of ₹10 each

NAV per Equity Share	Amount (in ₹)
As at March 31, 2023	29.87
After the Issue — at the Floor Price	[●]
After the Issue — at the Cap Price	[●]
Issue Price	[●]

Note: NAV per Equity Share = net worth as at the end of the relevant Financial Year divided by the number of Equity Shares outstanding as at the end of that Financial Year. On the basis of the indicative price band referred to above, the NAV per Equity Share after the Issue would be ₹52.61 at the higher end of that band.

6. Key Performance Indicators

The key performance indicators (“KPIs”) set out below have been approved by our Audit Committee pursuant to its resolution dated [●], have been certified by [●], Chartered Accountants, holding a valid peer review certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India, by way of their certificate dated [●], and have been disclosed in accordance with the SEBI ICDR Regulations and the industry standards on KPI disclosure notified thereunder. The KPIs disclosed below are those which have been used historically by our Company to track and monitor its operational and financial performance. Our Company shall continue to disclose these KPIs on a periodic basis, at least once in a Financial Year, for a period of one year after the date of listing or until the utilisation of the Net Proceeds, whichever is later.

(₹ in lakh, unless otherwise stated)

Key Performance Indicator	Fiscal 2023	Fiscal 2022	Fiscal 2021
Revenue from operations	4,863.00	3,421.00	2,184.00

Key Performance Indicator	Fiscal 2023	Fiscal 2022	Fiscal 2021
Revenue growth (%)	42.15	56.64	[●]
EBITDA	712.00	468.00	262.00
EBITDA Margin (%)	14.64	13.68	11.99
Restated profit for the year	421.00	258.00	96.00
PAT Margin (%)	8.66	7.54	4.40
Net worth	1,852.00	1,234.00	892.00
Return on Net Worth (%)	22.73	20.91	10.76
Net tangible assets	1,418.00	1,010.00	640.00
Total borrowings	540.00	610.00	720.00
Debt-Equity Ratio (times)	0.29	0.49	0.81
Current Ratio (times)	1.84	[●]	[●]

Explanation of the KPIs:

- (a) Revenue from operations means the revenue from operations as appearing in the Restated Financial Information.
- (b) EBITDA is calculated as restated profit for the year plus total tax expense, finance costs and depreciation and amortisation expense, less other income. EBITDA Margin is EBITDA as a percentage of revenue from operations.
- (c) PAT Margin is the restated profit for the year as a percentage of revenue from operations.
- (d) Net worth has the meaning ascribed to it under Regulation 2(1)(hh) of the SEBI ICDR Regulations.
- (e) Return on Net Worth is the restated profit for the year as a percentage of net worth as at the end of the relevant year.
- (f) Net tangible assets means the sum of all the net assets of our Company, excluding intangible assets as defined under Ind AS 38.
- (g) Debt-Equity Ratio is total borrowings divided by net worth. Current Ratio is total current assets divided by total current liabilities.

7. Comparison of KPIs with listed industry peers

Particulars	Revenue from operations (₹ in lakh)	EBITDA Margin (%)	PAT Margin (%)	RoNW (%)	P/E
Satvik Foods Limited	4,863.00	14.64	8.66	22.73	[●]
Listed peers					
[●]	[●]	[●]	[●]	[●]	[●]
[●]	[●]	[●]	[●]	[●]	[●]
[●]	[●]	[●]	[●]	[●]	[●]

Note: The financial information for our Company is derived from the Restated Financial Information for Fiscal 2023. All financial information in respect of the listed industry peers is to be sourced from the audited financial statements or the financial results, as available, of the respective company for the Financial Year ended March 31, 2023 as submitted to the stock exchanges. P/E is to be computed as the closing market price of the equity shares of the respective company as at [●] divided by basic earnings per share for the Financial Year ended March 31, 2023. The peer group has been identified on the basis of companies listed in India which are engaged in a business comparable to that of our Company and are of a comparable scale of operations.

8. Weighted average cost of acquisition

The price per Equity Share based on the primary and secondary transactions in the Equity Shares of our Company, and the weighted average cost of acquisition (“WACA”) in respect thereof, is set out below in accordance with the SEBI ICDR Regulations.

Particulars	No. of Equity Shares	Weighted average cost of acquisition (in ₹)	Range of acquisition price (in ₹)
Primary transactions in the 18 months preceding the date of this Draft Red Herring Prospectus(1)	[●]	[●]	[●]
Secondary transactions in the 18 months preceding the date of this	[●]	[●]	[●]

Particulars	No. of Equity Shares	Weighted average cost of acquisition (in ₹)	Range of acquisition price (in ₹)
Draft Red Herring Prospectus(1)			
Last five primary transactions	[●]	[●]	[●]
Last five secondary transactions	[●]	[●]	[●]

(1) Where, during the 18 months preceding the date of this Draft Red Herring Prospectus, there have been no primary or secondary transactions of the nature and threshold prescribed under the SEBI ICDR Regulations, the information is to be disclosed for the last five primary or secondary transactions, as applicable, not older than three years prior to the date of this Draft Red Herring Prospectus, irrespective of the size of the transaction. The transaction details are to be certified by [●], Chartered Accountants.

Particulars	WACA (in ₹)	Issue Price [●] is 'X' times the WACA
WACA of primary issuances	[●]	[●]
WACA of secondary transactions	[●]	[●]

Justification for the Issue Price

The Issue Price of ₹[●] has been determined by our Company in consultation with the Lead Manager on the basis of an assessment of market demand from investors for the Equity Shares through the Book Building Process, and is justified in view of the above qualitative and quantitative parameters. A committee of our Independent Directors has, pursuant to its recommendation dated [●], confirmed that the Price Band is justified based on the quantitative factors and the key performance indicators disclosed in this section, in comparison with the weighted average cost of acquisition of the primary issuances and the secondary transactions disclosed above. Investors should read the above-mentioned information along with “Risk Factors”, “Our Business” and “Restated Financial Information” beginning on pages 9, 36 and 51, respectively, to have a more informed view. The trading price of the Equity Shares could decline due to the factors mentioned in “Risk Factors” and you may lose all or part of your investment.

STATEMENT OF SPECIAL TAX BENEFITS

The statement of possible special tax benefits available to our Company and to the Shareholders of our Company under the Income-tax Act, 1961 and under the indirect tax legislation in force in India, prepared by the Statutory Auditors of our Company, is to be reproduced in this chapter in the form of the certificate issued by them and addressed to our Board and to the Lead Manager. The text set out below records the scope, assumptions and limitations on which that certificate will be issued.

To,

The Board of Directors

Satvik Foods Limited

Plot 42, Baner Industrial Estate, Baner, Pune 411 045, Maharashtra, India

Dear Sirs,

Sub: Statement of possible special tax benefits available to Satvik Foods Limited and its shareholders under the applicable direct and indirect tax laws in India

We hereby confirm that the enclosed Annexure, prepared by Satvik Foods Limited (the “Company”), states the possible special tax benefits available to the Company and to the shareholders of the Company under the Income-tax Act, 1961 as amended by the Finance Act, [●], the Central Goods and Services Tax Act, 2017, the Integrated Goods and Services Tax Act, 2017, the Customs Act, 1962 and the Customs Tariff Act, 1975, each as presently in force in India as at the date of this certificate (together, the “Tax Laws”). Several of these benefits are dependent on the Company or its shareholders fulfilling the conditions prescribed under the relevant provisions of the Tax Laws. Hence, the ability of the Company or its shareholders to derive these tax benefits is dependent upon their fulfilling such conditions, which is based on business imperatives that the Company or its shareholders may face in the future, and accordingly, the Company or its shareholders may or may not choose to fulfil such conditions.

The benefits discussed in the enclosed Annexure cover only the possible special tax benefits available to the Company and to its shareholders and do not cover any general tax benefits available to them. Further, the preparation of the enclosed Annexure and its contents is the responsibility of the management of the Company. This statement is only intended to provide general information to investors and is neither designed nor intended to be a substitute for professional tax advice. In view of the individual nature of the tax consequences, and the changing tax laws, each investor is advised to consult his or her own tax consultant with respect to the specific tax implications arising out of their participation in the Issue.

We do not express any opinion or provide any assurance as to whether the Company or its shareholders will continue to obtain these benefits in the future, or as to the conditions or the treatment that the relevant tax authorities or the courts may adopt in the future.

Annexure — Statement of possible special tax benefits

A. Special tax benefits available to the Company

[●]

B. Special tax benefits available to the Shareholders

[●]

C. Special indirect tax benefits available to the Company

[●]

D. Special indirect tax benefits available to the Shareholders

[●]

Notes:

1. The above is as per the current provisions of the Tax Laws and any legislative amendments thereto, the relevant judicial pronouncements or circulars, notifications and instructions issued thereunder, as applicable as at the date of the certificate.
2. This statement does not discuss any tax consequences in any country outside India of an investment in the Equity Shares. The subscribers of the Equity Shares in a country other than India are urged to consult their own professional advisers regarding the possible income tax consequences that apply to them under the laws of such jurisdiction.
3. This chapter is to be replaced in its entirety with the executed certificate of the Statutory Auditors prior to the filing of the Red Herring Prospectus with the RoC, and the certificate shall be listed as a material document for inspection in “Material Contracts and Documents for Inspection” beginning on page 77.

SECTION IV: ABOUT OUR COMPANY

INDUSTRY OVERVIEW

The information in this section is derived from the report titled “[●]” dated [●] (the “Industry Report”) prepared and issued by [●], which has been commissioned and paid for by our Company for the purposes of confirming our understanding of the industry exclusively in connection with the Issue. Neither our Company, our Directors, the Lead Manager, nor any other person connected with the Issue has independently verified the information contained in the Industry Report. Industry sources and publications generally state that the information contained therein has been obtained from sources believed to be reliable, but that their accuracy, completeness and underlying assumptions are not guaranteed and their reliability cannot be assured. Accordingly, no investment decision should be made solely on the basis of such information. For further details and risks in relation to commissioned reports, see “Certain Conventions, Presentation of Financial, Industry and Market Data” and “Risk Factors” beginning on pages 4 and 9, respectively.

The content of this chapter is to be inserted in full upon receipt of the final Industry Report and the consent letter of the Industry Consultant. The chapter shall follow the structure set out below, and each quantitative statement reproduced from the Industry Report shall be followed by the attribution “(Source: Industry Report)”.

Overview of the global economy

[●]

Overview of the Indian economy

[●]

Overview of the Indian food and packaged foods industry

[●]

The Indian millet-based foods market

The chapter shall address, at a minimum, the market size in value and volume terms for the periods presented, historical and forecast growth rates, the drivers of consumption of millet-based foods, and the policy environment relating to the promotion of millets in India.

[●]

The Indian edible oils market, with a focus on cold-pressed oils

[●]

Retail channel evolution: general trade, modern trade, direct-to-consumer and quick commerce

[●]

Key demand drivers and industry trends

[●]

Competitive landscape and key players

The chapter shall set out the competitive landscape of the categories in which our Company operates, including the market positioning of our Company relative to other participants, and shall identify the listed companies which are comparable to our Company and which are proposed to be included in the peer set referred to in “Basis for Issue Price” beginning on page 29.

[●]

Key challenges and threats

[●]

OUR BUSINESS

Some of the information in the following discussion, including information with respect to our business plans and strategies, contains forward-looking statements that involve risks and uncertainties. You should read “Forward-Looking Statements” on page 7 for a discussion of the risks and uncertainties related to those statements, and “Risk Factors”, “Restated Financial Information” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 9, 51 and 56, respectively, for a discussion of certain factors that may affect our business, financial condition or results of operations. Our actual results may differ materially from those expressed in or implied by these forward-looking statements. Our Financial Year ends on March 31 of each year, and references to a particular Fiscal are to the 12 months ended March 31 of that year.

Unless otherwise indicated or the context requires otherwise, the financial information included herein is derived from our Restated Financial Information for Fiscals 2021, 2022 and 2023 included in this Draft Red Herring Prospectus. Unless the context otherwise requires, in this section, references to “we”, “us”, “our” or the “Company” refer to Satvik Foods Limited. Unless otherwise indicated, industry and market data used in this section have been derived from the Industry Report, which has been commissioned and paid for by us for the purposes of confirming our understanding of the industry exclusively in connection with the Issue.

Overview

We are a Pune-based direct-to-consumer packaged foods company engaged in the manufacture, branding and distribution of millet-based snacks, cold-pressed oils and ready-to-cook health mixes under our “Satvik” brand. Our Company was incorporated in 2016 and has since built a portfolio addressed to consumers seeking minimally processed, nutritionally positioned staples and snacks.

We manufacture our products at our facility at Plot 42, Baner Industrial Estate, Baner, Pune, Maharashtra, which is held by us under a registered lease. We source our principal raw materials, being millets and oilseeds, from farmer producer organisations located in Maharashtra and Karnataka, with whom we have established procurement arrangements.

We sell our products through three principal channels: our own direct-to-consumer channel operated through our website and marketplace listings; quick commerce platforms, of which we had three partners as at the date of this Draft Red Herring Prospectus; and the modern trade channel, through which our products were available at more than 4,200 outlets across western and southern India as at the date of this Draft Red Herring Prospectus.

In Fiscal 2023, Fiscal 2022 and Fiscal 2021, our revenue from operations was ₹4,863.00 lakh, ₹3,421.00 lakh and ₹2,184.00 lakh, respectively, representing a compound annual growth rate of 49.19% between Fiscal 2021 and Fiscal 2023. Our EBITDA was ₹712.00 lakh, ₹468.00 lakh and ₹262.00 lakh in Fiscal 2023, Fiscal 2022 and Fiscal 2021, respectively, and our EBITDA Margin was 14.64%, 13.68% and 11.99% in the same periods. Our restated profit for the year was ₹421.00 lakh, ₹258.00 lakh and ₹96.00 lakh in Fiscal 2023, Fiscal 2022 and Fiscal 2021, respectively. We had 148 employees as at the date of this Draft Red Herring Prospectus.

Summary of our key financial and operational metrics

(₹ in lakh, unless otherwise stated)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Revenue from operations	4,863.00	3,421.00	2,184.00
EBITDA	712.00	468.00	262.00
EBITDA Margin (%)	14.64	13.68	11.99
Restated profit for the year	421.00	258.00	96.00
PAT Margin (%)	8.66	7.54	4.40
Net worth	1,852.00	1,234.00	892.00
Return on Net Worth (%)	22.73	20.91	10.76
Debt-Equity Ratio (times)	0.29	0.49	0.81
Number of modern trade outlets serviced	4,200+	●	●

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Number of stock keeping units	[●]	[●]	[●]
Installed capacity (MT per annum)	[●]	[●]	[●]
Capacity utilisation (%)	[●]	[●]	[●]

Note: The information relating to installed capacity, capacity utilisation and stock keeping units is to be certified by [●], Chartered Engineer, and by [●], Chartered Accountants, respectively, prior to the filing of the Red Herring Prospectus.

Our Competitive Strengths

A differentiated portfolio in growing consumer categories

Our portfolio is concentrated in the millet-based foods, cold-pressed oils and ready-to-cook health mixes categories, which are positioned towards consumers seeking minimally processed products. This positioning allows us to address a defined consumer segment rather than compete across the breadth of the packaged foods category.

An owned consumer brand

The “Satvik” word mark and logo are registered in the name of our Company in classes 29 and 30 under the Trade Marks Act, 1999, having been assigned to our Company by our Promoters and recorded in 2019. Our brand is accordingly owned by our Company and is not licensed from any third party.

A multi-channel distribution footprint

We sell through our direct-to-consumer channel, quick commerce platforms and the modern trade channel, which together provide us with a presence across the principal urban retail formats in western and southern India. Our direct-to-consumer channel additionally provides us with consumer data that informs our product development and marketing spend.

Backward linkages with farmer producer organisations

We source millets and oilseeds through arrangements with farmer producer organisations in Maharashtra and Karnataka, which we believe supports consistency of quality and traceability of our raw materials.

A track record of growth and improving operating margins

Our revenue from operations grew at a compound annual growth rate of 49.19% between Fiscal 2021 and Fiscal 2023, while our EBITDA Margin improved from 11.99% in Fiscal 2021 to 14.64% in Fiscal 2023 and our Debt-Equity Ratio reduced from 0.81 times to 0.29 times over the same period.

Our Strategies

Expand our manufacturing capacity

We propose to establish an additional millet-processing line at our Baner facility, to be funded from the Net Proceeds, in order to increase our installed capacity and to enable the manufacture of additional stock keeping units within the millet-based foods category. For further details, see “Objects of the Issue” beginning on page 25.

Deepen our presence in the modern trade and quick commerce channels

We intend to increase the number of modern trade outlets that we service and to expand the number of quick commerce platforms on which our products are listed, together with an increase in the number of stock keeping units listed on each platform.

Invest in brand building

We propose to deploy ₹450.00 lakh of the Net Proceeds towards brand-building and digital marketing expenditure in order to increase consumer awareness of the “Satvik” brand and to support our expansion into new geographies.

Widen our product portfolio

We intend to extend our portfolio within the millet-based foods and health mixes categories, including through the introduction of new formats and pack sizes addressed to the quick commerce channel.

Our Products

Our product portfolio comprises the following principal categories.

Category	Description	Contribution to revenue from operations in Fiscal 2023 (%)
Millet-based snacks	[●]	[●]
Cold-pressed oils	[●]	[●]
Ready-to-cook health mixes	[●]	[●]
Total		100.00

Our Manufacturing Facility

Our manufacturing operations are carried out at a single facility at Plot 42, Baner Industrial Estate, Baner, Pune, Maharashtra, which is held by us under a registered lease deed for a term of nine years commencing April 1, 2021. The book value of our plant and machinery was ₹812.00 lakh as at March 31, 2023. Our facility holds a central licence under the Food Safety and Standards Act, 2006, a factory licence under the Factories Act, 1948 and a consent to operate issued by the Maharashtra Pollution Control Board. For details of the approvals held in respect of the facility, see “Government and Other Approvals” beginning on page 63.

Manufacturing Process

[●] — to be inserted, together with a process flow diagram in respect of each product category.

Raw Materials and Supply Arrangements

Our principal raw materials are millets, oilseeds and allied agricultural commodities, together with packaging materials. We source our principal raw materials from farmer producer organisations in Maharashtra and Karnataka. In Fiscal 2023, our top five suppliers accounted for 61% of our total purchases. We have entered into two written supply arrangements, the longest of which has a tenure of three years.

Sales and Distribution

We sell our products through our direct-to-consumer channel, through three quick commerce partners and through the modern trade channel, comprising more than 4,200 outlets as at the date of this Draft Red Herring Prospectus. Our largest channel partner accounted for 22% of our revenue from operations in Fiscal 2023. The channel-wise break-up of our revenue from operations for the periods indicated is set out below.

Channel	Fiscal 2023 (%)	Fiscal 2022 (%)	Fiscal 2021 (%)
Direct-to-consumer	[●]	[●]	[●]
Quick commerce	[●]	[●]	[●]
Modern trade	[●]	[●]	[●]
Others	[●]	[●]	[●]
Total	100.00	100.00	100.00

Competition

The Indian packaged foods industry is highly competitive and includes established national and multinational companies, regional players and a substantial unorganised segment. We compete on the basis of product quality and positioning, brand recognition, availability across channels, and price.

Quality Control

[●]

Intellectual Property

As at the date of this Draft Red Herring Prospectus, our Company is the registered proprietor of three trade marks in classes 29 and 30 under the Trade Marks Act, 1999, in respect of the “Satvik” word mark and logo. These marks were assigned to our Company by our Promoters and the assignment was recorded in 2019.

Insurance

We maintain four insurance policies in force covering, among other things, our plant and machinery, stock-in-trade and public liability, with an aggregate sum insured of ₹960.00 lakh as at March 31, 2023, which represented approximately 68% of the book value of the insured assets as at that date. We do not maintain business interruption cover.

Properties

Premises	Use	Nature of interest	Tenure
Plot 42, Baner Industrial Estate, Baner, Pune 411 045	Registered Office and manufacturing facility	Leasehold (registered)	Nine years from April 1, 2021

Employees

As at the date of this Draft Red Herring Prospectus, our Company had 148 employees. Our Company has obtained registration under the Employees’ Provident Funds and Miscellaneous Provisions Act, 1952 and the Employees’ State Insurance Act, 1948, and 148 employees were covered thereunder.

Corporate Social Responsibility

[●]

KEY REGULATIONS AND POLICIES

The following description is a summary of certain sector-specific laws and policies in India which are applicable to our Company. The information available in this section has been obtained from publications available in the public domain. The description of the applicable regulations as given below has been provided in a manner to provide general information to the investors and is neither designed nor intended to substitute for professional legal advice. The statements below are based on the current provisions of Indian law, and the judicial, regulatory and administrative interpretations thereof, which are subject to change or modification by subsequent legislative, regulatory, administrative or judicial decisions.

Industry-specific laws and regulations

The Food Safety and Standards Act, 2006 and the rules and regulations made thereunder

The Food Safety and Standards Act, 2006 consolidates the laws relating to food and establishes the Food Safety and Standards Authority of India for laying down science-based standards for articles of food and for regulating their manufacture, storage, distribution, sale and import. No person is permitted to commence or carry on any food business except under a licence granted thereunder. The Act and the regulations made thereunder, including the Food Safety and Standards (Licensing and Registration of Food Businesses) Regulations, 2011, the Food Safety and Standards (Packaging and Labelling) Regulations, 2011 and the Food Safety and Standards (Food Products Standards and Food Additives) Regulations, 2011, prescribe, among other things, the conditions of licensing, the standards applicable to specified articles of food, the requirements relating to packaging and labelling including nutritional declarations, and the penalties for the manufacture or sale of food that is unsafe, sub-standard or misbranded.

The Legal Metrology Act, 2009 and the Legal Metrology (Packaged Commodities) Rules, 2011

The Legal Metrology Act, 2009 establishes and enforces standards of weights and measures and regulates trade and commerce in goods which are sold or distributed by weight, measure or number. The Legal Metrology (Packaged Commodities) Rules, 2011 require every person who pre-packs or imports any commodity for sale to be registered, and prescribe the declarations required to be made on the packages of commodities intended for retail sale, including the name and address of the manufacturer or packer, the net quantity, the retail sale price and the consumer care details.

The Factories Act, 1948

The Factories Act, 1948 regulates the health, safety and welfare of workers employed in factories and requires the occupier of a factory to obtain a licence and to give notice to the chief inspector of factories prior to the commencement of occupation or use of any premises as a factory. It further imposes obligations in relation to working hours, leave, the safety of machinery, the handling of hazardous substances, and the maintenance of prescribed registers and records.

Environmental legislation

Our operations are subject to the Water (Prevention and Control of Pollution) Act, 1974, the Air (Prevention and Control of Pollution) Act, 1981 and the Environment (Protection) Act, 1986, together with the rules made thereunder, which require every industrial undertaking to obtain the consent of the relevant state pollution control board to establish and to operate, and which regulate the discharge of effluents and emissions. Our operations are further subject to the Plastic Waste Management Rules, 2016, including the requirements relating to extended producer responsibility applicable to brand owners.

Labour and employment legislation

Our Company is subject to a range of labour legislation, including the Employees' Provident Funds and Miscellaneous Provisions Act, 1952, the Employees' State Insurance Act, 1948, the Payment of Gratuity Act, 1972, the Payment of Bonus Act, 1965, the Minimum Wages Act, 1948, the Payment of Wages Act, 1936, the Contract Labour (Regulation and Abolition) Act, 1970, the Maharashtra Shops and Establishments (Regulation of Employment and Conditions of Service) Act, 2017, and the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

The Micro, Small and Medium Enterprises Development Act, 2006

The Micro, Small and Medium Enterprises Development Act, 2006 provides for the classification of enterprises and, under Section 15 thereof, requires a buyer to make payment to a supplier which is a micro or small enterprise within the

period agreed in writing, which may not exceed 45 days from the day of acceptance of the goods or services, failing which the buyer is liable to pay compound interest at the rate prescribed thereunder.

Tax legislation

Our Company is subject to the Income-tax Act, 1961, the Central Goods and Services Tax Act, 2017, the respective State Goods and Services Tax legislation, the Integrated Goods and Services Tax Act, 2017, and the Customs Act, 1962, together with the rules, regulations, circulars and notifications made or issued thereunder.

Other laws

Our Company is further subject to, among other legislation, the Companies Act, 2013, the Trade Marks Act, 1999, the Consumer Protection Act, 2019 together with the Consumer Protection (E-Commerce) Rules, 2020, the Information Technology Act, 2000, the Digital Personal Data Protection Act, 2023, the Foreign Exchange Management Act, 1999, the Transfer of Property Act, 1882 and the Indian Contract Act, 1872.

HISTORY AND CERTAIN CORPORATE MATTERS

Brief history of our Company

Our Company was incorporated on March 14, 2016 at Pune, Maharashtra, India as “Satvik Foods Private Limited”, a private limited company under the Companies Act, 2013, pursuant to a certificate of incorporation granted by the Registrar of Companies, Pune. Our Company was subsequently converted into a public limited company under the Companies Act, 2013, pursuant to a special resolution passed by our Shareholders dated [●], and the name of our Company was changed to “Satvik Foods Limited”. A fresh certificate of incorporation consequent upon conversion to a public limited company was issued by the RoC on January 22, 2026.

Changes in the Registered Office

There has been no change in the Registered Office of our Company since incorporation, except as set out below.

Date of change	Details of the address	Reason for change
[●]	[●]	[●]

Main objects of our Company

The main objects contained in our Memorandum of Association are to carry on the business of manufacture of, and trade in, food products. The main objects clause and the objects incidental and ancillary to the main objects as contained in our Memorandum of Association enable our Company to carry on the business presently carried on by it, and to undertake the activities for which the funds are being raised by our Company through the Issue.

Amendments to our Memorandum of Association

The following amendments have been made to our Memorandum of Association in the ten years preceding the date of this Draft Red Herring Prospectus.

Date of Shareholders' resolution	Particulars
[●]	Increase in the authorised share capital of our Company from ₹[●] to ₹[●]
[●]	Increase in the authorised share capital of our Company to ₹12,00,00,000 divided into 1,20,00,000 equity shares of face value of ₹10 each
[●]	Alteration of the name clause consequent upon the conversion of our Company from a private limited company to a public limited company and the change of name to “Satvik Foods Limited”

Major events and milestones of our Company

Calendar year	Particulars
2016	Incorporation of our Company at Pune, Maharashtra
2019	Assignment of the “Satvik” trade marks by our Promoters to our Company and recordal thereof
2021	Execution of a registered lease deed in respect of the Baner manufacturing facility for a term of nine years, and commissioning of the processing line at that facility
2021	Execution of the shareholders' agreement dated August 11, 2021 with our investors
2022	Bonus issue of equity shares
2026	Conversion of our Company into a public limited company

Shareholders' agreements

Our Company, our Promoters and certain investors, being Kartik Gaikwad, Om Bhorkade, Sahil Gadam, Khushi Chakke and Vansh Jaiswal, entered into a shareholders' agreement dated August 11, 2021 (the “SHA”), read with the share subscription agreements executed with the said investors. The SHA confers certain rights on the said investors, including the right to nominate a director to our Board and anti-dilution protection.

The SHA does not expressly provide that the special rights conferred thereunder shall stand terminated upon the listing of the Equity Shares. In terms of Regulation 31A of the SEBI Listing Regulations, any special right granted to a shareholder of a listed entity is required to be approved by the shareholders by way of a special resolution at the intervals prescribed thereunder. Our Company proposes to enter into an amendment or termination deed with the parties to the SHA prior to the filing of the Red Herring Prospectus with the RoC, pursuant to which all such special rights shall stand terminated with effect from the date of listing of the Equity Shares, and this section shall be updated accordingly. For further details, see “Risk Factors — 12. Certain special rights conferred on our existing investors under the shareholders’ agreement do not expressly fall away upon listing.” on page 9.

Subsidiaries, joint ventures and associates

As at the date of this Draft Red Herring Prospectus, our Company does not have any subsidiary, joint venture or associate company.

Agreements with Key Managerial Personnel, Directors or Shareholders

Other than as disclosed in this section, there are no agreements entered into by any of our Key Managerial Personnel, Directors, Promoters or the members of our Promoter Group with any Shareholder or any other third party with regard to compensation or profit sharing in connection with the dealings in the securities of our Company.

Guarantees given by our Promoters

Our Promoters have not given any guarantee to any third party in respect of the Equity Shares, other than personal guarantees furnished in respect of the borrowings of our Company. For details, see “Financial Indebtedness” beginning on page 55.

Material acquisitions or divestments

Our Company has not made any material acquisition or divestment of any business or undertaking, and has not undertaken any merger, amalgamation or scheme of arrangement, since incorporation.

OUR MANAGEMENT

Board of Directors

In accordance with our Articles of Association and the Companies Act, 2013, our Company is required to have not less than three Directors and not more than 15 Directors. As at the date of this Draft Red Herring Prospectus, our Board comprised four Directors, of whom one is our Managing Director, one is our Whole-time Director and two are Independent Directors, including one woman Independent Director. The present composition of our Board and of its committees is in accordance with the corporate governance requirements provided under the Companies Act, 2013 and the SEBI Listing Regulations, as applicable to our Company.

The table below sets forth details regarding our Board as at the date of this Draft Red Herring Prospectus.

S. No.	Name, DIN, designation, address, occupation, date of birth, period of directorship and term	Age (years)	Other directorships
1.	Ananya Deshpande • DIN: [●] • Designation: Managing Director • Address: [●] • Occupation: Business • Date of birth: [●] • Period of directorship: Director since March 14, 2016 • Term: [●]	[●]	[●]
2.	Rohan Kulkarni • DIN: [●] • Designation: Whole-time Director • Address: [●] • Occupation: Business • Date of birth: [●] • Period of directorship: Director since March 14, 2016 • Term: [●]	[●]	[●]
3.	S. Iyer • DIN: [●] (pending validation) • Designation: Independent Director • Address: [●] • Occupation: [●] • Date of birth: [●] • Period of directorship: Director since 2022 • Term: [●]	[●]	[●]
4.	Meera Nair • DIN: [●] • Designation: Independent Director • Address: [●] • Occupation: [●] • Date of birth: [●] • Period of directorship: Director since 2023 • Term: [●]	[●]	[●]

Note: The director identification number of Mr. S. Iyer is awaiting validation by the Ministry of Corporate Affairs as at the date of this Draft Red Herring Prospectus. This section is to be updated upon such validation being completed, and prior to the filing of the Red Herring Prospectus with the RoC.

Brief profiles of our Directors

Ananya Deshpande is the Managing Director and one of the Promoters of our Company. She has been associated with our Company since its incorporation in 2016. [●]

Rohan Kulkarni is the Whole-time Director and one of the Promoters of our Company. He has been associated with our Company since its incorporation in 2016. [●]

S. Iyer is an Independent Director of our Company and has been on our Board since 2022. [●]

Meera Nair is an Independent Director of our Company and has been on our Board since 2023. [●]

Relationship between our Directors

None of our Directors is related to any other Director or to any Key Managerial Personnel, except as disclosed in “Our Promoters and Promoter Group” beginning on page 47.

Confirmations

Each of our Directors has furnished a declaration in Form DIR-8 under Section 164(2) of the Companies Act, 2013 confirming that he or she is not disqualified from being appointed as a director, and declarations have been received from all four Directors. None of our Directors is or was a director of any listed company whose shares have been or were suspended from trading, or which has been or was delisted, during the term of his or her directorship. None of our Directors has been declared a wilful defaulter or a fraudulent borrower, and none of our Directors is a fugitive economic offender.

Terms of appointment and remuneration of our Executive Directors

Our Company has entered into employment agreements with each of our Managing Director and our Whole-time Director, the terms of which have been approved by our Shareholders in accordance with Sections 196 and 197 of the Companies Act, 2013. The remuneration paid to our Managing Director in Fiscal 2023 was ₹36.00 lakh. The remuneration paid to our Whole-time Director in Fiscal 2023 was ₹[●] lakh.

Remuneration to our Independent Directors

Our Independent Directors are entitled to sitting fees for attending meetings of our Board and of its committees, and to reimbursement of expenses, in accordance with Section 197 of the Companies Act, 2013. The sitting fees paid to our Independent Directors in Fiscal 2023 were ₹[●] lakh in aggregate.

Shareholding of our Directors in our Company

Name of the Director	No. of Equity Shares held	Percentage of the pre-Issue Equity Share capital (%)
Ananya Deshpande	21,20,400	34.20
Rohan Kulkarni	17,73,200	28.60
S. Iyer	Nil	Nil
Meera Nair	Nil	Nil

Interest of our Directors

Our Executive Directors may be deemed to be interested to the extent of the remuneration payable to them and the reimbursement of expenses payable to them under our Articles of Association. Our Independent Directors may be deemed to be interested to the extent of the sitting fees payable to them. All our Directors may be deemed to be interested to the extent of the Equity Shares held by them, if any, and to the extent of any dividend payable to them and other distributions in respect of such Equity Shares.

Corporate governance

The provisions of the Companies Act, 2013 and the SEBI Listing Regulations, to the extent applicable to a company listed on the SME Platform of NSE, in respect of corporate governance will be applicable to our Company immediately upon the listing of the Equity Shares. Our Company is in compliance with the requirements of the applicable regulations in respect of the composition of our Board and its committees.

Committees of our Board

Our Board has constituted the following committees in accordance with the Companies Act, 2013 and the SEBI Listing Regulations.

Committee	Composition	Terms of reference
Audit Committee	[●] (Chairperson, Independent Director), [●] and [●]. A majority of the members are Independent Directors.	As prescribed under Section 177 of the Companies Act, 2013 and Regulation 18 of the SEBI Listing Regulations, including the review of the utilisation of the Net Proceeds.
Nomination and Remuneration Committee	[●] (Chairperson, Independent Director), [●] and [●].	As prescribed under Section 178 of the Companies Act, 2013 and Regulation 19 of the SEBI Listing Regulations.
Stakeholders Relationship Committee	[●] (Chairperson), [●] and [●].	As prescribed under Section 178 of the Companies Act, 2013 and Regulation 20 of the SEBI Listing Regulations.

Key Managerial Personnel and Senior Management

Name	Designation	Date of appointment and brief particulars
Ananya Deshpande	Managing Director	March 14, 2016. [●]

Name	Designation	Date of appointment and brief particulars
Rohan Kulkarni	Whole-time Director	March 14, 2016. [●]
[●]	Chief Financial Officer	[●]
[●]	Company Secretary and Compliance Officer	[●]

Employee stock option scheme

For details of the ESOP Scheme, see “Capital Structure” beginning on page 22.

OUR PROMOTERS AND PROMOTER GROUP

The Promoters of our Company are Ananya Deshpande and Rohan Kulkarni. As at the date of this Draft Red Herring Prospectus, our Promoters together hold 38,93,600 Equity Shares, constituting 62.80% of the issued, subscribed and paid-up Equity Share capital of our Company. For further details, see “Capital Structure” beginning on page 22.

Details of our Promoters

Ananya Deshpande	Rohan Kulkarni
Date of birth: [●] • Age: [●] years • Address: [●] • PAN: [●] • Personal address, educational qualifications, experience and positions held: [●] • Other ventures: [●]	Date of birth: [●] • Age: [●] years • Address: [●] • PAN: [●] • Personal address, educational qualifications, experience and positions held: [●] • Other ventures: [●]

Our Company confirms that the permanent account number, bank account number, passport number and Aadhaar card number of each of our Promoters shall be submitted to the Stock Exchange at the time of filing of this Draft Red Herring Prospectus.

Change in control of our Company

There has been no change in the control or the management of our Company in the five years immediately preceding the date of this Draft Red Herring Prospectus.

Interests of our Promoters

Our Promoters are interested in our Company to the extent of (i) their shareholding in our Company and any dividend or other distribution payable in respect thereof; (ii) their being the Managing Director and the Whole-time Director of our Company respectively, and the remuneration and reimbursement of expenses payable to them in such capacity; (iii) the personal guarantees furnished by them in respect of the borrowings availed by our Company; and (iv) the related party transactions disclosed in see “Other Financial Information” beginning on page 52.

Our Promoters have no interest in any property acquired by our Company in the three years preceding the date of this Draft Red Herring Prospectus, or proposed to be acquired by our Company, or in any transaction for the acquisition of land, the construction of building or the supply of machinery, except as disclosed in this Draft Red Herring Prospectus in relation to the lease of premises from a member of our Promoter Group.

Payment or benefit to our Promoters or Promoter Group

Except as disclosed in “Other Financial Information — Related Party Transactions” and “Our Management” beginning on pages 52 and 44, respectively, there has been no payment or benefit to our Promoters or the members of our Promoter Group during the two years preceding the date of this Draft Red Herring Prospectus, nor is any such payment or benefit proposed to be made or given.

Confirmations

Our Promoters have not been declared as wilful defaulters or fraudulent borrowers, and are not fugitive economic offenders. Neither our Promoters nor any of the members of our Promoter Group have been prohibited from accessing or operating in the capital markets or restrained from buying, selling or dealing in securities under any order or direction passed by the SEBI or any other regulatory or governmental authority. Our Promoters are not, and have never been, promoters, directors or persons in control of any other company which is prohibited from accessing or operating in the capital markets under any order or direction passed by the SEBI or any other regulatory or governmental authority. Our Promoters are not related to any of the intermediaries appointed in connection with the Issue.

Disassociation by our Promoters in the preceding three years

Our Promoters have not disassociated themselves from any company or firm during the three years preceding the date of this Draft Red Herring Prospectus, except as set out below.

Name of the entity	Date of disassociation	Reason for disassociation
[●]	[●]	[●]

Promoter Group

In addition to our Promoters, the following natural persons and entities constitute our Promoter Group in terms of Regulation 2(1)(pp) of the SEBI ICDR Regulations.

Natural persons forming part of our Promoter Group	Entities forming part of our Promoter Group
Nine relatives of our Promoters, the particulars of which are to be inserted: [●]	Two entities, being Satvik Agri Sourcing LLP and [●]

OUR GROUP COMPANIES

In terms of the SEBI ICDR Regulations, the term “Group Company” includes (i) such companies (other than the promoters and the subsidiaries) with which there were related party transactions during the periods for which financial information is disclosed in this Draft Red Herring Prospectus, as covered under the applicable accounting standards; and (ii) any other companies considered material by our Board in accordance with the Materiality Policy.

Pursuant to the Materiality Policy adopted by our Board by way of its resolution dated February 18, 2026, a company shall be considered material and disclosed as a Group Company if such company is a member of our Promoter Group and our Company has entered into one or more transactions with it during the last completed Financial Year, which individually or in the aggregate exceed 10% of the total consolidated revenue of our Company for the last completed Financial Year.

On the basis of the foregoing, the following entity has been identified as our Group Company as at the date of this Draft Red Herring Prospectus.

Satvik Agri Sourcing LLP

Particulars	Details
Registered office	[●]
Date of registration	[●]
Nature of activities	[●]
Partners and their contribution	[●]
Reason for identification as a Group Company	Related party transactions during the periods for which financial information is disclosed in this Draft Red Herring Prospectus

The financial information of our Group Company derived from its audited financial statements for the last three Financial Years is set out below.

(₹ in lakh)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Total income	[●]	[●]	[●]
Profit/(loss) after tax	[●]	[●]	[●]
Reserves and surplus (excluding revaluation reserves)	[●]	[●]	[●]
Net worth	[●]	[●]	[●]

Nature and extent of interest of our Group Company

Our Group Company has no interest in the promotion of our Company, and has no interest in any property acquired by our Company in the three years preceding the date of this Draft Red Herring Prospectus, or proposed to be acquired by our Company, or in any transactions for the acquisition of land, the construction of building or the supply of machinery.

Common pursuits

There are no common pursuits between our Group Company and our Company, except as disclosed in this Draft Red Herring Prospectus. [●]

Litigation

There are no outstanding legal proceedings involving our Group Company which have a material impact on our Company. For further details, see “Outstanding Litigation and Material Developments” beginning on page 60.

Loss-making Group Company

Our Group Company has not incurred a loss in the preceding Financial Year. [●]

DIVIDEND POLICY

The declaration and payment of dividends, if any, on the Equity Shares will be recommended by our Board and approved by our Shareholders at their discretion, subject to the provisions of our Articles of Association and applicable law, including the Companies Act, 2013, together with the rules made thereunder, and shall depend on a number of factors, including our earnings, financial condition, cash flows, capital requirements, business prospects, contractual restrictions and any other factor considered relevant by our Board.

Our Company has not declared or paid any dividend on the Equity Shares during the three Financial Years immediately preceding the date of this Draft Red Herring Prospectus and during the period from April 1, 2023 until the date of this Draft Red Herring Prospectus.

Our Company has adopted a formal dividend distribution policy. [●]

Our ability to pay dividends in the future will depend on our earnings, financial condition, cash flows, working capital requirements and capital expenditure, and will further be subject to the restrictive covenants contained in the financing arrangements availed by our Company, which require the prior written consent of the lender for the declaration of dividends. For further details, see “Financial Indebtedness” and “Risk Factors” beginning on pages 55, 9, respectively.

SECTION V: FINANCIAL INFORMATION

RESTATED FINANCIAL INFORMATION

This chapter is to comprise, in the following order: (i) the examination report of the Statutory Auditors on the Restated Financial Information, issued in accordance with the Guidance Note on Reports in Company Prospectuses (Revised 2019) issued by the Institute of Chartered Accountants of India; (ii) the restated statement of assets and liabilities; (iii) the restated statement of profit and loss; (iv) the restated statement of cash flows; (v) the restated statement of changes in equity; (vi) the summary of significant accounting policies; (vii) the notes to the Restated Financial Information; and (viii) the statement of restatement adjustments to the audited financial statements. The Restated Financial Information is to be reproduced in this chapter as issued by the Statutory Auditors and is not to be re-typeset.

The Restated Financial Information of our Company comprises the restated financial information as at and for the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021, and the restated interim financial information for the nine-month period ended December 31, 2023, each prepared in accordance with Ind AS, the requirements of Section 26 of Part I of Chapter III of the Companies Act, 2013, the SEBI ICDR Regulations and the said Guidance Note.

The Statutory Auditors of our Company hold a valid peer review certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India, as required under Regulation 246 read with Schedule VI of the SEBI ICDR Regulations. The audit reports issued in respect of the Financial Years ended March 31, 2023, March 31, 2022 and March 31, 2021 did not contain any qualification, and the annexures thereto issued under the Companies (Auditor's Report) Order, 2020 did not contain any adverse remark, save that our Company had disputed statutory dues in respect of goods and services tax, the particulars of which are set out in "Outstanding Litigation and Material Developments" beginning on page 60.

Three restatement adjustments have been recorded in the Restated Financial Information as compared with the audited financial statements of our Company for the corresponding periods. The particulars of each adjustment, its effect on the restated profit for each period presented and the reconciliation thereof to the audited profit are set out in the statement of restatement adjustments forming part of this chapter.

Investors are advised that, wherever the profit for Fiscal 2022 is referred to in this Draft Red Herring Prospectus, the amount so referred to is ₹258.00 lakh, being the restated profit for that Financial Year as set out in the Restated Financial Information, and not the profit as originally reported in the audited financial statements for that year.

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OTHER FINANCIAL INFORMATION

Summary of accounting ratios

(₹ in lakh, unless otherwise stated)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Restated profit for the year	421.00	258.00	96.00
Net worth	1,852.00	1,234.00	892.00
Basic earnings per Equity Share (₹)	6.79	4.16	1.55
Diluted earnings per Equity Share (₹)	[●]	[●]	[●]
Return on Net Worth (%)	22.73	20.91	10.76
Net asset value per Equity Share (₹)	29.87	19.90	14.39
EBITDA	712.00	468.00	262.00
EBITDA Margin (%)	14.64	13.68	11.99

Note: The accounting ratios set out above have been computed on the basis of the Restated Financial Information and are to be certified by [●], Chartered Accountants, by way of their certificate dated [●]. Net asset value per Equity Share has been computed on 62,00,000 Equity Shares outstanding as at the end of each of the periods presented, as adjusted for the bonus issue made in July 2022.

Related party transactions

The aggregate value of the related party transactions entered into by our Company in Fiscal 2023 was ₹184.00 lakh. Each such transaction has been approved by our Audit Committee in accordance with Section 188 of the Companies Act, 2013, and has been certified as being on an arm's length basis. The related parties of our Company comprise our Promoters, our Key Managerial Personnel, the relatives of our Promoters and Key Managerial Personnel, and the enterprises over which any of them exercises control or significant influence, including Satvik Agri Sourcing LLP.

(₹ in lakh)

Nature of transaction	Name of the related party	Fiscal 2023	Fiscal 2022	Fiscal 2021
Purchase of raw materials	Satvik Agri Sourcing LLP	[●]	[●]	[●]
Lease rent for premises	[●] (member of our Promoter Group)	[●]	[●]	[●]
Remuneration to Key Managerial Personnel	Ananya Deshpande	36.00	[●]	[●]
Remuneration to Key Managerial Personnel	Rohan Kulkarni	[●]	[●]	[●]
Total		184.00	[●]	[●]

Note: For the complete disclosure of the related party transactions of our Company as required under Ind AS 24, see "Restated Financial Information — Note [●] — Related Party Disclosures" on page 51.

Contingent liabilities

The following is a summary of our contingent liabilities as at March 31, 2023, as determined in accordance with Ind AS 37 — Provisions, Contingent Liabilities and Contingent Assets.

(₹ in lakh)

Particulars	As at March 31, 2023
Claims against our Company not acknowledged as debts:	
– Demand under the goods and services tax legislation	18.40
– Others	Nil
Corporate guarantees	Nil
Total	18.40

Note: For further details, see "Outstanding Litigation and Material Developments" beginning on page 60.

Capital commitments

The estimated amount of contracts remaining to be executed on capital account and not provided for, net of advances, was ₹[●] lakh as at March 31, 2023.

Statutory dues

There were no undisputed statutory dues, including provident fund, employees' state insurance, goods and services tax and income tax, outstanding as at March 31, 2023 for a period exceeding six months from the date on which they became payable. Our Company has confirmed that no amount was outstanding to any micro or small enterprise beyond the period of 45 days prescribed under Section 15 of the Micro, Small and Medium Enterprises Development Act, 2006.

CAPITALISATION STATEMENT

The following table sets forth our capitalisation as at March 31, 2023, derived from the Restated Financial Information, and as adjusted for the Issue. This table should be read in conjunction with “Restated Financial Information”, “Financial Indebtedness” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” beginning on pages 51, 55 and 56, respectively.

(₹ in lakh, except ratios)

Particulars	Pre-Issue as at March 31, 2023	As adjusted for the Issue*
Borrowings		
Current borrowings	[●]	[●]
Non-current borrowings (including current maturities)	[●]	[●]
Total borrowings (A)	540.00	[●]
Equity		
Equity share capital	620.00	910.91
Other equity	1,232.00	[●]
Total equity (B)	1,852.00	[●]
Total borrowings / Total equity (A/B) (times)	0.29	[●]

* The figures in the column “As adjusted for the Issue” are to be completed upon determination of the Issue Price and the Basis of Allotment. On the basis of the Net Proceeds of ₹2,940.00 lakh, total equity as adjusted for the Issue would be ₹4,792.00 lakh and the ratio of total borrowings to total equity would be 0.11 times, assuming no change in total borrowings between March 31, 2023 and the date of Allotment.

Note: The capitalisation statement set out above is to be certified by [●], Chartered Accountants.

FINANCIAL INDEBTEDNESS

Our Company avails credit facilities in the ordinary course of business for the purposes of meeting its working capital requirements and funding capital expenditure. For details of the consents required from, and the covenants imposed by, our lender in relation to the Issue, see “Risk Factors — 9. We are subject to restrictive covenants under our financing arrangements, and the no-objection of our lender in respect of the Issue has not been received as at the date of this Draft Red Herring Prospectus.” on page 9.

The details of our outstanding borrowings as at March 31, 2023 are set out below.

(₹ in lakh)

Nature of borrowing	Sanctioned amount	Outstanding as at March 31, 2023	Rate of interest (% per annum)	Repayment and tenor
Term loan — Bank of Maharashtra	[●]	[●]	[●]	[●]
Working capital facilities — Bank of Maharashtra	[●]	[●]	[●]	[●]
Total	[●]	540.00		

Principal terms of the borrowings availed by our Company

The details set out below are indicative and there may be additional terms, conditions and requirements under the financing documents executed by our Company.

- (a) Interest: The facilities availed by our Company carry interest at rates linked to the benchmark lending rate of the lender, as reset from time to time.
- (b) Security: The facilities are secured by, among other things, a charge over the movable and immovable fixed assets and the current assets of our Company, and are further secured by the personal guarantees of our Promoters.
- (c) Restrictive covenants: The financing documents require the prior written consent of the lender for, among other things, effecting any change in the capital structure or the shareholding pattern of our Company, effecting any change in the management or control of our Company, undertaking any scheme of amalgamation or reconstruction, declaring any dividend, and creating any further charge over the secured assets.
- (d) Events of default: The financing documents specify events of default including a default in the payment of principal or interest, a breach of any covenant, the cross-default of any other indebtedness, and the initiation of insolvency proceedings, upon the occurrence of which the lender may accelerate repayment and enforce the security.

Consent of the lender for the Issue

Our Company has applied to Bank of Maharashtra for a no-objection certificate in respect of the Issue and the consequent change in the capital structure and shareholding of our Company. As at the date of this Draft Red Herring Prospectus, the said no-objection certificate is awaited. This section shall be updated upon receipt thereof, and prior to the filing of the Red Herring Prospectus with the RoC.

MANAGEMENT’S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion is intended to convey our management’s perspective on our financial condition and results of operations as at and for the Financial Years ended March 31, 2021, March 31, 2022 and March 31, 2023, as measured in accordance with Ind AS. Unless otherwise stated, the financial information in this section has been derived from the Restated Financial Information. You should read the discussion and analysis below in conjunction with our Restated Financial Information, together with the related notes, included elsewhere in this Draft Red Herring Prospectus, and with “Risk Factors” and “Forward-Looking Statements” beginning on pages 9 and 7, respectively. Our historical results presented in this Draft Red Herring Prospectus do not necessarily indicate the results expected for any future period.

Overview

We are a Pune-based direct-to-consumer packaged foods company engaged in the manufacture, branding and distribution of millet-based snacks, cold-pressed oils and ready-to-cook health mixes under our “Satvik” brand. Our revenue from operations increased from ₹2,184.00 lakh in Fiscal 2021 to ₹4,863.00 lakh in Fiscal 2023, and our restated profit for the year increased from ₹96.00 lakh to ₹421.00 lakh over the same period.

Significant factors affecting our results of operations

Availability and price of raw materials

Our principal raw materials are millets and oilseeds, the prices of which are subject to seasonal and cyclical fluctuation driven by monsoon conditions, crop yields, government procurement policy and general commodity market conditions. Our cost of materials consumed is the largest component of our total expenses, and our ability to maintain our margins depends upon our ability to procure raw materials at competitive prices and to pass on any increase to our customers.

Channel mix and trade spends

Our results of operations are affected by the mix of our revenue among the direct-to-consumer, quick commerce and modern trade channels, each of which carries a different gross margin profile and a different level of associated trade discount, listing fee and promotional spend. An increase in the proportion of revenue derived from the modern trade and quick commerce channels generally requires higher trade and marketing spend.

Capacity and capacity utilisation

All of our manufacturing is undertaken at our Baner facility. Our results of operations are affected by our installed capacity and by the level of utilisation of that capacity, which determines the extent to which our fixed manufacturing overheads are absorbed. We propose to deploy ₹1,300.00 lakh of the Net Proceeds towards an additional processing line at that facility.

Brand investment

We incur advertising, promotion and performance marketing expenditure in order to build consumer awareness of our brand and to support the introduction of new products. The level and timing of such expenditure affects our operating margins in the period in which it is incurred, while the benefit thereof may be realised over subsequent periods.

Regulatory environment

Our business is subject to an extensive regulatory regime, in particular under the Food Safety and Standards Act, 2006 and the Legal Metrology (Packaged Commodities) Rules, 2011. Any change in the applicable standards, including in relation to labelling and nutritional declarations, may require changes to our products or packaging and may result in increased compliance costs.

Significant accounting policies

For a summary of our significant accounting policies, including in relation to revenue recognition, inventory valuation, property, plant and equipment, depreciation, employee benefits, provisions and contingent liabilities, and taxation, see “Restated Financial Information — Summary of Significant Accounting Policies” on page 51. Revenue is recognised in accordance with Ind AS 115 upon the transfer of control of the goods to the customer, net of trade discounts, rebates

and returns. Depreciation on property, plant and equipment is provided on the written down value method over the useful lives prescribed under Schedule II to the Companies Act, 2013.

Components of our statement of profit and loss

Revenue from operations

Revenue from operations comprises the sale of manufactured packaged food products, net of trade discounts, rebates and returns.

Cost of materials consumed

Cost of materials consumed comprises the cost of millets, oilseeds and other agricultural raw materials and of packaging materials consumed during the relevant period.

Employee benefits expense

Employee benefits expense comprises salaries, wages and bonus, contributions to provident and other funds, gratuity, and staff welfare expenses.

Finance costs

Finance costs comprise interest expense on borrowings from banks, interest on lease liabilities and other borrowing costs.

Depreciation and amortisation expense

Depreciation and amortisation expense comprises depreciation on property, plant and equipment, depreciation on right-of-use assets and the amortisation of intangible assets.

Other expenses

Other expenses comprise, among other things, power and fuel, freight and forwarding, advertisement and sales promotion, listing and platform fees payable to channel partners, repairs and maintenance, and legal and professional charges.

Results of operations

(₹ in lakh)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Revenue from operations	4,863.00	3,421.00	2,184.00
EBITDA	712.00	468.00	262.00
EBITDA Margin (%)	14.64	13.68	11.99
Finance costs	[●]	[●]	[●]
Depreciation and amortisation expense	[●]	[●]	[●]
Profit before tax	[●]	[●]	[●]
Total tax expense	[●]	[●]	[●]
Restated profit for the year	421.00	258.00	96.00

Fiscal 2023 compared with Fiscal 2022

Revenue from operations increased by 42.15% from ₹3,421.00 lakh in Fiscal 2022 to ₹4,863.00 lakh in Fiscal 2023, primarily on account of [●], including the expansion of the number of modern trade outlets serviced and the addition of stock keeping units listed on the quick commerce channel.

EBITDA increased by 52.14% from ₹468.00 lakh in Fiscal 2022 to ₹712.00 lakh in Fiscal 2023, and our EBITDA Margin increased from 13.68% to 14.64% over the same period, primarily on account of [●].

Our restated profit for the year increased by 63.18% from ₹258.00 lakh in Fiscal 2022 to ₹421.00 lakh in Fiscal 2023, and our PAT Margin increased from 7.54% to 8.66% over the same period.

Fiscal 2022 compared with Fiscal 2021

Revenue from operations increased by 56.64% from ₹2,184.00 lakh in Fiscal 2021 to ₹3,421.00 lakh in Fiscal 2022, primarily on account of [●], including the benefit of the additional processing capacity commissioned at our Baner facility in Fiscal 2021.

EBITDA increased by 78.63% from ₹262.00 lakh in Fiscal 2021 to ₹468.00 lakh in Fiscal 2022, and our EBITDA Margin increased from 11.99% to 13.68% over the same period, primarily on account of improved absorption of fixed manufacturing overheads.

Our restated profit for the year increased from ₹96.00 lakh in Fiscal 2021 to ₹258.00 lakh in Fiscal 2022, and our PAT Margin increased from 4.40% to 7.54% over the same period.

Liquidity and capital resources

Our principal sources of liquidity have been cash generated from operating activities and borrowings from banks. As at March 31, 2023, our total borrowings were ₹540.00 lakh, and our Debt-Equity Ratio was 0.29 times, as compared with 0.49 times as at March 31, 2022 and 0.81 times as at March 31, 2021. Our current ratio was 1.84 as at March 31, 2023.

Cash flows

(₹ in lakh)

Particulars	Fiscal 2023	Fiscal 2022	Fiscal 2021
Net cash generated from operating activities	604.00	386.00	142.00
Capital expenditure	210.00	175.00	305.00
Net borrowings during the year	(70.00)	(110.00)	80.00
Free cash flow to equity	324.00	101.00	(83.00)

Note: Free cash flow to equity is a non-GAAP financial measure and is computed as net cash generated from operating activities less capital expenditure plus net borrowings during the relevant Financial Year. It is not a measure defined under Ind AS and should not be considered in isolation from, or as a substitute for, the measures presented in the Restated Financial Information.

Net cash generated from operating activities increased from ₹142.00 lakh in Fiscal 2021 to ₹386.00 lakh in Fiscal 2022 and further to ₹604.00 lakh in Fiscal 2023, in each case principally reflecting the increase in our profit before tax, as adjusted for changes in working capital. Free cash flow to equity was negative ₹83.00 lakh in Fiscal 2021 on account of the capital expenditure of ₹305.00 lakh incurred on the commissioning of our Baner processing line in that year.

Contingent liabilities and off-balance sheet arrangements

As at March 31, 2023, our contingent liabilities aggregated ₹18.40 lakh, comprising a demand under the goods and services tax legislation which is under appeal. We do not have any off-balance sheet arrangements. For further details, see “Other Financial Information” and “Outstanding Litigation and Material Developments” beginning on pages 52, 60, respectively.

Related party transactions

For details of our related party transactions, see “Other Financial Information” beginning on page 52.

Qualitative disclosures about market risk

Commodity price risk

We are exposed to the risk of fluctuation in the prices of millets, oilseeds and other agricultural raw materials, which constitute the principal component of our cost of materials consumed.

Interest rate risk

Our borrowings carry interest at rates linked to the benchmark lending rate of our lender, and accordingly we are exposed to the risk of an increase in that rate.

Credit risk

We are exposed to credit risk in respect of the receivables owed to us by our modern trade and quick commerce channel partners.

Liquidity risk

Liquidity risk is the risk that we may be unable to meet our obligations as they fall due. We manage liquidity risk by monitoring our cash flows and by maintaining sanctioned working capital facilities.

Unusual or infrequent events or transactions

Except as disclosed in this Draft Red Herring Prospectus, there have been no unusual or infrequent events or transactions that have materially affected our results of operations.

Significant economic changes and known trends or uncertainties

Other than as disclosed in this Draft Red Herring Prospectus, to our knowledge there are no known trends or uncertainties that have or are expected to have a material adverse impact on our revenue or income from continuing operations.

Significant developments after March 31, 2023

Except as disclosed in this Draft Red Herring Prospectus, to our knowledge no circumstances have arisen since March 31, 2023 which materially and adversely affect, or are likely to affect, our operations, our profitability, the value of our assets or our ability to pay our material liabilities.

SECTION VI: LEGAL AND OTHER INFORMATION

OUTSTANDING LITIGATION AND MATERIAL DEVELOPMENTS

Except as stated in this section, as at the date of this Draft Red Herring Prospectus there are no outstanding (i) criminal proceedings; (ii) actions taken by statutory or regulatory authorities; (iii) claims relating to direct or indirect tax matters; or (iv) other pending litigation proceedings that have been determined to be material in accordance with the Materiality Policy, in each case involving our Company, our Promoters and our Directors (together, the “Relevant Parties”), and there are no legal proceedings involving our Group Company that have a material impact on our Company. Further, except as disclosed in this section, as at the date of this Draft Red Herring Prospectus there have been no disciplinary actions, including penalties imposed by the SEBI or the Stock Exchange, against our Promoters in the last five Financial Years, including any outstanding action.

For the purpose of the identification of material litigation referred to in item (iv) above, our Board has considered and adopted the following policy on materiality with regard to outstanding litigation involving the Relevant Parties, pursuant to its resolution dated February 18, 2026:

- (a) notices received by the Relevant Parties from third parties (excluding notices from statutory, regulatory or tax authorities or notices threatening criminal action) shall not be evaluated for materiality until the Relevant Parties are impleaded as defendants in proceedings before any judicial forum; and
- (b) all outstanding litigation involving the Relevant Parties (other than criminal proceedings, actions taken by statutory or regulatory authorities, direct or indirect tax claims, and disciplinary actions including penalties imposed by the SEBI or the Stock Exchange against our Promoters) shall be disclosed if: (i) the monetary amount of the claim by or against the entity or person in any such pending proceeding individually exceeds the lower of 2% of the turnover of our Company as per the Restated Financial Information for the last completed Financial Year, being ₹97.26 lakh, and ₹50.00 lakh; or (ii) the decision in one case is likely to affect the decision in similar cases, even though the amount involved in an individual litigation may not exceed that threshold; or (iii) the monetary liability is not quantifiable, or the outcome of any other outstanding legal proceeding may have a material and adverse bearing on the business, operations, performance, prospects, financial position or reputation of our Company, irrespective of the amount involved in such litigation.

It is clarified that, in accordance with the SEBI ICDR Regulations, all outstanding direct and indirect tax proceedings involving the Relevant Parties are disclosed in this section in a consolidated manner, giving the number of cases and the total amount involved, irrespective of the threshold set out above.

Summary of outstanding litigation and material developments

(₹ in lakh)

Nature of proceedings	Number of cases outstanding	Amount involved [^]
Litigation involving our Company		
<i>Against our Company</i>		
Criminal proceedings	Nil	Nil
Actions taken by statutory or regulatory authorities	Nil	Nil
Direct and indirect tax proceedings	1	18.40
Other material litigation	Nil	Nil
<i>By our Company</i>		
Criminal proceedings	Nil	Nil
Other material litigation	Nil	Nil
Litigation involving our Promoters	Nil	Nil
Litigation involving our Directors	Nil	Nil
Litigation involving our Group Company having a material impact on our Company	Nil	Nil

^ To the extent quantifiable.

Note: The information set out above is based on the litigation search report dated March 2, 2026 obtained by our Company in respect of our Company, our Directors and our Promoters across the courts, tribunals and consumer fora having jurisdiction, read with the confirmations furnished by our Directors and our Promoters.

Litigation involving our Company

Tax proceedings against our Company

Our Company received a demand under the goods and services tax legislation in respect of the input tax credit availed by it for the Financial Year 2021, aggregating ₹18.40 lakh, excluding interest and penalty. Our Company has preferred an appeal against the said demand before the Commissioner (Appeals), which is pending hearing as at the date of this Draft Red Herring Prospectus. The amount has been disclosed as a contingent liability in the Restated Financial Information and has not been provided for.

(₹ in lakh)

Nature of tax	Period to which the demand relates	Amount demanded	Forum	Status
Goods and services tax	Financial Year 2021	18.40	Commissioner (Appeals)	Pending hearing
Total		18.40		

Note: Our Company has requested the written opinion of its legal counsel in respect of the said appeal. As at the date of this Draft Red Herring Prospectus, such opinion has not been received. The assessment of our Company that an outflow of resources embodying economic benefits is not probable in respect of the said demand is accordingly based on the view of our management, pending receipt of that opinion. This section shall be updated upon receipt of the opinion and prior to the filing of the Red Herring Prospectus with the RoC.

Criminal proceedings involving our Company

There are no outstanding criminal proceedings involving our Company, whether initiated by or against our Company, as at the date of this Draft Red Herring Prospectus.

Actions taken by statutory or regulatory authorities

There have been no actions taken by any statutory or regulatory authority against our Company, and our Company has not received any show cause notice from any statutory or regulatory authority, in the three years preceding the date of this Draft Red Herring Prospectus.

Litigation involving our Promoters and our Directors

There are no outstanding criminal proceedings, actions taken by statutory or regulatory authorities, claims relating to direct or indirect tax matters, or other material litigation proceedings involving our Promoters or our Directors, as at the date of this Draft Red Herring Prospectus. Further, our Promoters have not been subjected to any disciplinary action, including any penalty imposed by the SEBI or the Stock Exchange, in the last five Financial Years.

Litigation involving our Group Company

There are no outstanding legal proceedings involving Satvik Agri Sourcing LLP which have a material impact on our Company as at the date of this Draft Red Herring Prospectus.

Outstanding dues to creditors

Our Board has, pursuant to its resolution dated February 18, 2026, adopted a policy for the identification of material creditors, in terms of which a creditor of our Company shall be considered material if the amount due to such creditor exceeds 5% of the total trade payables of our Company as at the end of the last completed Financial Year. The details of the outstanding dues owed by our Company as at March 31, 2023 are set out below.

(₹ in lakh)

Particulars	Number of creditors	Amount outstanding
Micro, small and medium enterprises	[•]	[•]
Material creditors	[•]	[•]
Other creditors	[•]	[•]
Total	[•]	[•]

Note: There were no amounts outstanding to any micro or small enterprise beyond the period of 45 days prescribed under Section 15 of the Micro, Small and Medium Enterprises Development Act, 2006. The complete details of the outstanding dues to material creditors are available on the website of our Company at www.satvikfoods.in.

Material developments since the last balance sheet date

Except as disclosed in this Draft Red Herring Prospectus, there have been no material developments since the date of the last balance sheet included in the Restated Financial Information which materially and adversely affect, or are likely to affect, the trading or profitability of our Company, the value of its assets or its ability to pay its material liabilities within the next 12 months.

GOVERNMENT AND OTHER APPROVALS

Our Company has obtained the necessary consents, licences, permissions, registrations and approvals from the Government of India, the relevant State Governments and various governmental and regulatory agencies which are considered material and necessary for carrying on our present business activities, except as disclosed in this section. In order to operate our business, we are required to renew the said approvals from time to time. Unless otherwise stated, these approvals are valid as at the date of this Draft Red Herring Prospectus.

For details in connection with the applicable regulatory and legal framework within which we operate, see “Key Regulations and Policies” beginning on page 40. For details of the risks associated with our approvals, see “Risk Factors — 4. We require a number of statutory and regulatory licences, permits and approvals to operate our business.” on page 9.

I. Approvals in relation to the Issue

- (a) Approval of our Board dated February 18, 2026 authorising the Issue.
- (b) Special resolution of our Shareholders dated March 4, 2026 passed at an extraordinary general meeting under Section 62(1)(c) of the Companies Act, 2013 authorising the Issue.
- (c) Approval of our Board dated [●] authorising this Draft Red Herring Prospectus.
- (d) In-principle approval of the National Stock Exchange of India Limited for the listing of the Equity Shares on the SME Platform, dated [●].
- (e) Tripartite agreement dated March 6, 2026 among our Company, National Securities Depository Limited and the Registrar to the Issue, and tripartite agreement dated March 6, 2026 among our Company, Central Depository Services (India) Limited and the Registrar to the Issue. The ISIN allotted to the Equity Shares is INE0QK901018.

II. Incorporation and corporate approvals

Approval	Issuing authority	Particulars
Certificate of incorporation	Registrar of Companies, Pune	Dated March 14, 2016; CIN U15490PN2016PTC167432
Fresh certificate of incorporation consequent upon conversion into a public limited company	Registrar of Companies, Pune	Dated January 22, 2026

III. Tax related approvals

Approval	Issuing authority	Registration number	Validity
Permanent Account Number	Income Tax Department	AAJCS4821K	Valid until cancelled
Tax Deduction Account Number	Income Tax Department	PNES19472B	Valid until cancelled
Goods and services tax registration (Maharashtra)	Goods and Services Tax Network	27AAJCS4821K1ZP	Valid until cancelled
Goods and services tax registration (Karnataka)	Goods and Services Tax Network	[●]	Valid until cancelled

Note: Our Company has filed its return of income for the assessment year 2025-26. The acknowledgement of the return of income furnished to the Lead Manager is to be re-verified prior to the filing of the Red Herring Prospectus, as the entity particulars appearing thereon require reconciliation with the records of our Company.

IV. Business and operational approvals

Approval	Issuing authority	Registration number	Valid until
Central licence under the Food Safety and Standards Act, 2006	Food Safety and Standards Authority of India	10019064002537	September 30, 2026

Approval	Issuing authority	Registration number	Valid until
(manufacturer)			
Factory licence	Directorate of Industrial Safety and Health, Maharashtra	MH/PUN/041/2019	December 31, 2026
Consent to operate under the Water Act, 1974 and the Air Act, 1981	Maharashtra Pollution Control Board	[●] (Green category)	March 31, 2027
Packer registration under the Legal Metrology (Packaged Commodities) Rules, 2011	Controller of Legal Metrology, Maharashtra	LM/PKR/MH/2287	June 14, 2027

Note: The factory licence permits the employment of up to 180 workers at the Baner facility.

V. Labour related approvals

Approval	Issuing authority	Registration number
Registration under the Employees' Provident Funds and Miscellaneous Provisions Act, 1952	Employees' Provident Fund Organisation	MHPUN2298471000
Registration under the Employees' State Insurance Act, 1948	Employees' State Insurance Corporation	34000512930000999
Registration under the Maharashtra Shops and Establishments (Regulation of Employment and Conditions of Service) Act, 2017	[●]	[●]

Note: 148 employees were covered under the registrations set out above as at the date of this Draft Red Herring Prospectus.

VI. Intellectual property approvals

Trade mark	Class	Registration number	Status
"Satvik" word mark	29	[●]	Registered
"Satvik" word mark	30	[●]	Registered
"Satvik" device/logo	[●]	[●]	Registered

Note: The above trade marks were assigned to our Company by our Promoters and the assignment was recorded in the register of trade marks in 2019.

VII. Approvals applied for but not received

Approval	Authority	Date of application
Renewal of the fire safety no-objection certificate in respect of the Baner premises under the Maharashtra Fire Prevention and Life Safety Measures Act, 2006	Pune Fire Brigade	February 12, 2026
No-objection certificate of the lender in respect of the Issue	Bank of Maharashtra	[●]

VIII. Approvals required but not applied for

As at the date of this Draft Red Herring Prospectus, there are no material approvals which are required to be obtained by our Company and for which an application has not been made. [●]

OTHER REGULATORY AND STATUTORY DISCLOSURES

Authority for the Issue

The Issue has been authorised by a resolution of our Board dated February 18, 2026, and by a special resolution of our Shareholders passed at an extraordinary general meeting held on March 4, 2026 in terms of Section 62(1)(c) of the Companies Act, 2013, at which 96.5% of the votes cast were in favour of the resolution. This Draft Red Herring Prospectus has been approved by a resolution of our Board dated [●]. Our Company has applied to the National Stock Exchange of India Limited for its in-principle approval for the listing of the Equity Shares on the SME Platform.

Prohibition by the SEBI or other governmental authorities

Our Company, our Promoters, the members of our Promoter Group, our Directors and the persons in control of our Company are not prohibited from accessing the capital markets, and have not been debarred from buying, selling or dealing in securities, under any order or direction passed by the SEBI or any securities market regulator in any other jurisdiction or by any other authority or court.

Directors associated with the securities market

None of our Directors is associated with the securities market in any manner, and no action has been initiated by the SEBI against any of our Directors in the five years preceding the date of this Draft Red Herring Prospectus.

Confirmation under the Companies (Significant Beneficial Owners) Rules, 2018

Our Company, our Promoters and the members of our Promoter Group are in compliance with the Companies (Significant Beneficial Owners) Rules, 2018, to the extent applicable to them as at the date of this Draft Red Herring Prospectus.

Wilful defaulters and fraudulent borrowers

Neither our Company, nor our Promoters, nor any of our Directors has been categorised or declared as a wilful defaulter or a fraudulent borrower by any bank or financial institution or consortium thereof, in accordance with the guidelines on wilful defaulters and fraudulent borrowers issued by the Reserve Bank of India.

Fugitive economic offenders

None of our Promoters or Directors has been declared a fugitive economic offender under Section 12 of the Fugitive Economic Offenders Act, 2018.

Eligibility for the Issue

Our Company is eligible for the Issue in accordance with Regulation 229(2) and other applicable provisions of Chapter IX of the SEBI ICDR Regulations, as the post-Issue paid-up Equity Share capital of our Company does not exceed ₹2,500.00 lakh. Our Company confirms that it is in compliance with the following conditions specified in Regulation 230 of the SEBI ICDR Regulations, to the extent applicable:

- (a) neither our Company, nor our Promoters, nor the members of our Promoter Group, nor our Directors is debarred from accessing the capital markets by the SEBI;
- (b) none of our Promoters or Directors is a promoter or a director of any other company which is debarred from accessing the capital markets by the SEBI;
- (c) neither our Company, nor our Promoters, nor any of our Directors is a wilful defaulter or a fraudulent borrower;
- (d) none of our Promoters or Directors is a fugitive economic offender; and
- (e) there is no outstanding convertible security or any other right which would entitle any person to receive Equity Shares of our Company as at the date of this Draft Red Herring Prospectus, other than the options granted under the ESOP Scheme.

Our Company further confirms that it satisfies the eligibility norms prescribed by the National Stock Exchange of India Limited for listing on its SME Platform, including in relation to the track record of the issuer, positive operating profit in at least two of the three preceding Financial Years and positive net worth. Our operating profit before interest, depreciation and tax was ₹712.00 lakh, ₹468.00 lakh and ₹262.00 lakh in Fiscal 2023, Fiscal 2022 and Fiscal 2021, respectively, and our net worth was positive in each of those Financial Years. Our net tangible assets were ₹1,418.00 lakh as at March 31, 2023.

Disclaimer clause of the SEBI

This Draft Red Herring Prospectus has not been filed with the SEBI in terms of Regulation 246(2) of the SEBI ICDR Regulations, as the Issue is being made in accordance with Chapter IX thereof. It is to be distinctly understood that the filing of this Draft Red Herring Prospectus with the Stock Exchange should not in any way be deemed or construed to mean that the same has been cleared or approved by the SEBI. The SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the Issue is proposed to be made, or for the correctness of the statements made or opinions expressed in this Draft Red Herring Prospectus.

Disclaimer clause of the Stock Exchange

As required, a copy of this Draft Red Herring Prospectus has been submitted to the National Stock Exchange of India Limited. The disclaimer clause as intimated by the Stock Exchange to our Company, post scrutiny of this Draft Red Herring Prospectus, shall be included in the Red Herring Prospectus prior to filing with the RoC. [●]

Caution — disclaimer from our Company, our Directors and the Lead Manager

Our Company, our Directors and the Lead Manager accept no responsibility for statements made otherwise than in this Draft Red Herring Prospectus or in the advertisements or any other material issued by or at the instance of our Company, and anyone placing reliance on any other source of information, including our Company's website, would be doing so at his or her own risk. The Lead Manager accepts no responsibility, save to the limited extent as provided in the Issue Agreement and as will be provided in the Underwriting Agreement.

Disclaimer in respect of jurisdiction

This Issue is being made in India to persons resident in India, including Indian nationals resident in India who are competent to contract under the Indian Contract Act, 1872, Hindu undivided families, companies, corporate bodies and societies registered under applicable law in India, mutual funds, Indian financial institutions, commercial banks, regional rural banks, co-operative banks, trusts registered under applicable trust law, scientific and/or industrial research organisations authorised in India to invest in the Equity Shares, and to permitted non-residents including FPIs and eligible NRIs, in each case subject to applicable law. This Draft Red Herring Prospectus does not constitute an offer to sell or an invitation to subscribe to the Equity Shares in any jurisdiction in which such offer or invitation is not authorised. Any dispute arising out of this Issue will be subject to the jurisdiction of the appropriate court(s) at Pune, Maharashtra, India only.

Listing

An application will be made to the National Stock Exchange of India Limited for permission for the listing of the Equity Shares on its SME Platform, and for the official quotation of the Equity Shares. The National Stock Exchange of India Limited shall be the Designated Stock Exchange for the purposes of the Issue.

If the permission to deal in and for an official quotation of the Equity Shares is not granted by the Stock Exchange, our Company shall forthwith repay, without interest, all monies received from the Bidders in pursuance of the Red Herring Prospectus, in accordance with applicable law. If such money is not repaid within the prescribed time, our Company and every officer in default shall be liable to repay the money with interest at the rate prescribed under applicable law.

Consents

Consents in writing of our Directors, our Company Secretary and Compliance Officer, our Chief Financial Officer, the legal counsel, the Lead Manager, the Registrar to the Issue, the Designated Market Maker, the bankers to our Company, the Banker(s) to the Issue, the Sponsor Bank, the Syndicate Member and the Industry Consultant to act in

their respective capacities have been obtained, or will be obtained prior to the filing of the Red Herring Prospectus with the RoC, and filed along with a copy of the Red Herring Prospectus with the RoC as required under Sections 26 and 32 of the Companies Act, 2013. None of the said consents has been withdrawn up to the time of delivery of the Red Herring Prospectus for registration with the RoC.

Experts to the Issue

Our Company has received written consent dated [●] from [●], Chartered Accountants, holding a valid peer review certificate issued by the Peer Review Board of the Institute of Chartered Accountants of India, to include their name in this Draft Red Herring Prospectus as an “expert” as defined under Section 2(38) of the Companies Act, 2013, in respect of the examination report on the Restated Financial Information and in respect of their certificate on the statement of possible special tax benefits, and such consent has not been withdrawn as at the date of this Draft Red Herring Prospectus.

Particulars regarding public or rights issues during the last five years

Our Company has not made any public or rights issue of any kind or class of securities since its incorporation.

Capital issues in the preceding three years by our Company and our Group Company

Other than as disclosed in “Capital Structure” beginning on page 22, our Company has not undertaken any capital issue during the three years preceding the date of this Draft Red Herring Prospectus. Our Group Company is a limited liability partnership and has not undertaken any capital issue.

Performance vis-à-vis objects

Our Company has not undertaken any public issue or rights issue in the ten years preceding the date of this Draft Red Herring Prospectus, and accordingly no disclosure is required in respect of the performance of our Company vis-à-vis the objects of any such issue.

Price information of past issues handled by the Lead Manager

The price information and the track record of past issues handled by Meridian Capital Advisors LLP, as required under the SEBI circulars in this regard, is set out below. [●]

S. No.	Issue name	Issue size (₹ in lakh)	Issue price (₹)	Listing date	Closing price on listing date (₹)
[●]	[●]	[●]	[●]	[●]	[●]

Stock market data of the Equity Shares

This being the initial public issue of the Equity Shares of our Company, the Equity Shares are not listed on any stock exchange as at the date of this Draft Red Herring Prospectus, and accordingly no stock market data is available.

Mechanism for the redressal of investor grievances

The agreement between the Registrar to the Issue and our Company provides for the retention of records with the Registrar to the Issue for a period of at least eight years from the date of listing and commencement of trading of the Equity Shares, in order to enable the investors to approach the Registrar to the Issue for the redressal of their grievances. All grievances in relation to the Bidding process may be addressed to the Registrar to the Issue with a copy to the relevant Designated Intermediary. Our Company has constituted a Stakeholders Relationship Committee to review and redress shareholder and investor grievances.

Disposal of investor grievances by our Company

Our Company shall obtain authentication on the SEBI Complaints Redress System and shall comply with the SEBI circulars in relation to the redressal of investor grievances through that system. Our Company estimates that the average time required for the disposal of an investor complaint shall be [●] Working Days from the date of receipt thereof.

Exemption from complying with any provisions of securities laws granted by the SEBI

Our Company has not applied for or been granted any exemption from complying with any provision of securities laws by the SEBI as at the date of this Draft Red Herring Prospectus.

SECTION VII: ISSUE RELATED INFORMATION

TERMS OF THE ISSUE

The Equity Shares being issued and Allotted pursuant to the Issue shall be subject to the provisions of the Companies Act, 2013, the SCRA, the SCRR, the SEBI ICDR Regulations, the SEBI Listing Regulations, the Memorandum of Association and the Articles of Association of our Company, the terms of the Red Herring Prospectus, the Prospectus, the Bid cum Application Form, the Revision Form, the abridged prospectus, the CAN, the Allotment Advice and any other document or contract to be entered into in connection with the Issue, as well as to the provisions of the listing agreement to be entered into with the Stock Exchange, and to the guidelines, notifications and regulations issued by the SEBI, the Government of India, the Stock Exchange, the RoC, the Reserve Bank of India and any other authority, to the extent applicable.

Ranking of the Equity Shares

The Equity Shares being issued and Allotted pursuant to the Issue shall be subject to the provisions of the Companies Act, 2013, the Memorandum of Association and the Articles of Association, and shall rank pari passu in all respects with the existing Equity Shares of our Company, including in respect of the rights to receive dividends and other corporate benefits, if any, declared by our Company after the date of Allotment. For further details, see “Description of Equity Shares and Terms of the Articles of Association” beginning on page 75.

Mode of payment of dividend

Our Company shall pay dividends, if declared, to the Shareholders in accordance with the provisions of the Companies Act, 2013, the Memorandum of Association and the Articles of Association, the SEBI Listing Regulations and any other guidelines or directions as may be issued by the Government of India in this respect. Any dividends declared, after the date of Allotment, in respect of the period prior to Allotment, will be payable to the Shareholders as at the record date fixed for such purpose.

Face value, Price Band and Issue Price

The face value of each Equity Share is ₹10 and the Issue Price at the lower end of the Price Band is ₹[●] per Equity Share and at the higher end of the Price Band is ₹[●] per Equity Share. The Anchor Investor Issue Price is ₹[●] per Equity Share. The Price Band and the minimum Bid lot for the Issue will be decided by our Company in consultation with the Lead Manager, and will be advertised in the newspapers at least two Working Days prior to the Bid/Issue Opening Date, with the relevant financial ratios calculated at the Floor Price and at the Cap Price, and shall be made available to the Stock Exchange for the purpose of uploading on its website.

Rights of the Shareholders

Subject to applicable law, the Articles of Association and the terms of the Red Herring Prospectus, the Shareholders shall have the following rights: the right to receive dividends, if declared; the right to receive notice of, attend and vote at general meetings; the right to receive offers for rights shares and to be allotted bonus shares, if announced; the right to receive any surplus on liquidation, subject to any statutory and preferential claims; the right of free transferability of the Equity Shares, subject to applicable law including any lock-in; and such other rights as may be available to a shareholder of a listed public company under the Companies Act, 2013, the SEBI Listing Regulations, the terms of the listing agreement and the Memorandum of Association and Articles of Association of our Company.

Market lot and trading lot

Pursuant to Section 29 of the Companies Act, 2013, the Equity Shares shall be Allotted only in dematerialised form. In this context, our Company has entered into tripartite agreements dated March 6, 2026 with each of National Securities Depository Limited and Central Depository Services (India) Limited, and with the Registrar to the Issue, for the dematerialisation of the Equity Shares. The ISIN of our Company is INE0QK901018. As the trading of the Equity Shares will be in dematerialised form, the tradable lot is one Equity Share. Allotment in the Issue will be only in electronic form in multiples of 1200 Equity Shares, subject to a minimum Allotment of 1200 Equity Shares.

Joint holders

Subject to the provisions contained in the Articles of Association, where two or more persons are registered as the holders of any Equity Shares, they shall be deemed to hold such Equity Shares as joint tenants with benefits of survivorship.

Nomination facility

In accordance with Section 72 of the Companies Act, 2013, read with the Companies (Share Capital and Debentures) Rules, 2014, the sole Bidder, or the first Bidder along with other joint Bidders, may nominate any one person in whom, in the event of the death of the sole Bidder or the death of all the joint Bidders, as the case may be, the Equity Shares Allotted, if any, shall vest.

Withdrawal of the Issue

Our Company, in consultation with the Lead Manager, reserves the right not to proceed with the whole or any part of the Issue at any time after the Bid/Issue Opening Date but before the Allotment, in the manner described in “General Information — Withdrawal of the Issue” on page 19.

Minimum subscription

In accordance with Regulation 260 of the SEBI ICDR Regulations, the Issue is 100% underwritten. If our Company does not receive a minimum subscription of 90% of the Fresh Issue on the date of closure of the Issue, or the subscription level falls below 90% after the closure of the Issue on account of cheques being returned unpaid or withdrawal of applications, or after technical rejections, or if the listing or trading permission is not obtained from the Stock Exchange for the Equity Shares, our Company shall forthwith refund the entire subscription amount received. If there is a delay beyond the prescribed time, our Company and every officer in default shall be liable to pay interest at the rate prescribed under applicable law. Further, in accordance with Regulation 253(2) of the SEBI ICDR Regulations, the minimum number of allottees in the Issue shall be 50; failing which the entire application money shall be refunded forthwith.

Arrangements for the disposal of odd lots

There are no arrangements for the disposal of odd lots. The trading of the Equity Shares on the SME Platform of NSE shall be in multiples of the market lot of 1200 Equity Shares.

Restrictions on the transfer and transmission of the Equity Shares

Except for the lock-in of the pre-Issue Equity Shares and the Equity Shares subscribed by the Designated Market Maker, as detailed in “Capital Structure” beginning on page 22, and except as provided in the Articles of Association, there are no restrictions on the transfer or transmission of the Equity Shares or on their consolidation or splitting.

ISSUE STRUCTURE

The Issue is of up to 29,09,100 Equity Shares for cash at a price of ₹[●] per Equity Share, aggregating up to ₹3,200.00 lakh, comprising a Fresh Issue. The Issue includes a reservation of up to 1,45,455 Equity Shares for subscription by the Designated Market Maker. The Issue and the Net Issue shall constitute [●]% and [●]%, respectively, of the post-Issue paid-up Equity Share capital of our Company.

The Issue is being made through the Book Building Process in accordance with Regulation 253(1) of the SEBI ICDR Regulations.

Particulars	QIBs	Non-Institutional Bidders	Retail Individual Bidders
Number of Equity Shares available for allocation	Not more than 13,81,822 Equity Shares	Not less than 4,14,547 Equity Shares	Not less than 9,67,276 Equity Shares
Percentage of the Net Issue available for allocation	Not more than 50% of the Net Issue	Not less than 15% of the Net Issue	Not less than 35% of the Net Issue
Basis of allocation, if the respective category is oversubscribed	Proportionate, subject to the Anchor Investor Portion being allocated on a discretionary basis	Proportionate	The allotment to each Retail Individual Bidder shall not be less than the minimum Bid lot, subject to availability, and the remaining Equity Shares, if any, shall be allotted on a proportionate basis
Minimum Bid	Such number of Equity Shares in multiples of 1200 Equity Shares so that the Bid Amount exceeds ₹2,00,000	Such number of Equity Shares in multiples of 1200 Equity Shares so that the Bid Amount exceeds ₹2,00,000	1200 Equity Shares
Maximum Bid	Such number of Equity Shares not exceeding the size of the Net Issue, subject to applicable limits	Such number of Equity Shares not exceeding the size of the Net Issue, subject to applicable limits	Such number of Equity Shares in multiples of 1200 so that the Bid Amount does not exceed ₹2,00,000
Mode of Allotment	Compulsorily in dematerialised form	Compulsorily in dematerialised form	Compulsorily in dematerialised form
Trading lot	One Equity Share	One Equity Share	One Equity Share
Mode of Bidding	Through ASBA only (except for Anchor Investors)	Through ASBA only	Through ASBA only, including through the UPI Mechanism

Note: Under-subscription, if any, in any category except the QIB Portion would be allowed to be met with spill-over from any other category or a combination of categories, at the discretion of our Company in consultation with the Lead Manager and the Designated Stock Exchange, subject to applicable law.

Market making

The Equity Shares issued through the Issue are proposed to be listed on the SME Platform of NSE. In accordance with Regulation 261 of the SEBI ICDR Regulations, the Lead Manager has appointed Anchor Securities Private Limited as the Designated Market Maker, which shall be responsible for making a market in the Equity Shares for a minimum period of three years from the date of listing, or for such other period as may be prescribed by the SEBI or the Stock Exchange from time to time, and which has agreed to receive or deliver the Equity Shares in the market making process. The Designated Market Maker shall subscribe to the Market Maker Reservation Portion of up to 1,45,455 Equity Shares, constituting 5% of the Issue.

ISSUE PROCEDURE

All Bidders should read the General Information Document for Investing in Public Issues prepared and issued in accordance with the circulars issued by the SEBI in this regard, including the UPI Circulars (the “General Information Document”), which highlights the key rules, processes and procedures applicable to public issues in general in accordance with the provisions of the Companies Act, 2013, the SCRA, the SCRR and the SEBI ICDR Regulations, and which is part of the abridged prospectus accompanying the Bid cum Application Form. The General Information Document is available on the websites of the Stock Exchange and the Lead Manager. Investors should note that the details and the process provided in the General Information Document should be read along with this section.

Additionally, all Bidders may refer to the General Information Document for information in relation to: (i) the category of investors eligible to participate in the Issue; (ii) the maximum and minimum Bid size; (iii) the price discovery and allocation mechanism; (iv) the manner of submitting the Bid cum Application Form; (v) the manner of accepting the Bid cum Application Form; (vi) the manner and mode of payment; (vii) the submission of the Bid cum Application Form; (viii) electronic registration of the Bids; (ix) the general instructions, including in relation to the mandatory furnishing of the permanent account number; (x) the grounds for technical rejection; (xi) the designated date; (xii) disposal of applications; (xiii) the basis of allotment; and (xiv) the payment or refund of excess amounts.

Book Building Process

The Book Building Process, in the context of the Issue, refers to the process of collection of Bids from Bidders on the basis of the Red Herring Prospectus and the Bid cum Application Forms within the Price Band. The Issue Price shall be determined by our Company in consultation with the Lead Manager after the Bid/Issue Closing Date. The principal parties involved in the Book Building Process are our Company, the Lead Manager, the Syndicate Member, the SCSBs, the Sponsor Bank, the Registered Brokers, the RTAs, the CDPs and the Registrar to the Issue.

Phased implementation of the UPI Mechanism

Retail Individual Bidders Bidding through the UPI Mechanism shall provide their UPI ID in the Bid cum Application Form submitted to a Designated Intermediary, and the Bid Amount shall be blocked in the ASBA Account upon the acceptance of the UPI Mandate Request. The provisions of the UPI Circulars, including in relation to the timelines for the confirmation of the UPI Mandate Request and the blocking of funds, shall apply.

Bid cum Application Form

Copies of the Bid cum Application Form and the abridged prospectus will be available with the Designated Intermediaries at the Bidding Centres, and at the Registered Office of our Company. An electronic copy of the Bid cum Application Form will also be available for download on the websites of the Stock Exchange and the SCSBs. The application form shall carry a quick response code enabling access to the Red Herring Prospectus, the abridged prospectus and the price band advertisement, in accordance with the SEBI ICDR Regulations.

Who can Bid

Subject to applicable law, the following categories of persons are eligible to participate in the Issue: Indian nationals resident in India who are competent to contract under the Indian Contract Act, 1872; Hindu undivided families through the karta; companies, corporate bodies and societies registered under applicable law in India; mutual funds registered with the SEBI; eligible non-resident Indians and foreign portfolio investors, subject to applicable law; Indian financial institutions, scheduled commercial banks, regional rural banks, co-operative banks and multilateral and bilateral development financial institutions, subject to applicable law; venture capital funds and alternative investment funds registered with the SEBI; insurance companies registered with the Insurance Regulatory and Development Authority of India; provident funds and pension funds with a minimum corpus of ₹2,500.00 lakh; the National Investment Fund; and such other persons as may be permitted to invest in the Issue under applicable law.

Method of Bidding

Bidders are required to submit their Bids through the Designated Intermediaries, and all Bidders other than Anchor Investors are mandatorily required to use the ASBA process by providing the details of their respective ASBA accounts, and the UPI ID in the case of Retail Individual Bidders using the UPI Mechanism, in which the

corresponding Bid Amount will be blocked. Bidders are required to ensure that the ASBA Account has sufficient credit balance such that the full Bid Amount can be blocked.

Basis of Allotment

The Basis of Allotment shall be finalised by the Registrar to the Issue in consultation with the Designated Stock Exchange and shall be in accordance with the SEBI ICDR Regulations. In accordance with Regulation 253(2) of the SEBI ICDR Regulations, the minimum number of allottees in the Issue shall be 50. Allotment to Retail Individual Bidders shall not be less than the minimum Bid lot, subject to availability of Equity Shares in the Retail Portion.

Grounds for technical rejection

Bid cum Application Forms can be rejected on the grounds set out in the General Information Document, including where the permanent account number is not provided, where the ASBA Account details are incorrect or the ASBA Account has insufficient balance, where the Bid is for a number of Equity Shares which is not in multiples of the minimum Bid lot, where the Bid is submitted at a price below the Floor Price, and where the Bid is submitted by a person not eligible to invest in the Issue.

Payment into the escrow account and refunds

The Bid Amount of the Anchor Investors shall be payable into the Escrow Account. In the case of all other Bidders, the Bid Amount shall be blocked in the ASBA Account and shall be transferred to the Public Issue Account on the Designated Date, and the balance amount, if any, shall be unblocked in accordance with the SEBI circulars in this regard.

Terms of payment

The entire Issue Price is payable on Bidding, except in the case of Anchor Investors, from whom the Bid Amount shall be payable on the Anchor Investor Bid/Issue Period in accordance with the SEBI ICDR Regulations.

Undertakings by our Company

Our Company undertakes, among other things, that: the complaints received in respect of the Issue shall be attended to by our Company expeditiously and satisfactorily; all steps for the completion of the necessary formalities for listing and commencement of trading at the Stock Exchange shall be taken within the time prescribed under applicable law; the funds required for making refunds or unblocking, and for the dispatch of the Allotment Advice, shall be made available to the Registrar to the Issue; where refunds are made through electronic transfer of funds, a suitable communication shall be sent to the Bidder within the prescribed time; no further issue of the Equity Shares shall be made until the Equity Shares issued through the Red Herring Prospectus are listed or until the Bid monies are unblocked or refunded on account of non-listing; and the Promoters' contribution in full shall be brought in advance before the Bid/Issue Opening Date.

Utilisation of the proceeds of the Issue

Our Board certifies that: (i) all monies received out of the Issue shall be credited to a separate bank account other than the bank account referred to in Section 40(3) of the Companies Act, 2013; (ii) the details of all monies utilised out of the Issue shall be disclosed, and shall continue to be disclosed until the time any part of the Issue proceeds remains unutilised, under an appropriate head in the balance sheet of our Company indicating the purpose for which such monies have been utilised; and (iii) the details of all unutilised monies out of the Issue, if any, shall be disclosed under an appropriate separate head in the balance sheet of our Company indicating the form in which such unutilised monies have been invested.

RESTRICTIONS ON FOREIGN OWNERSHIP OF INDIAN SECURITIES

Foreign investment in Indian securities is regulated through the Consolidated Foreign Direct Investment Policy issued by the Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry, Government of India, and the Foreign Exchange Management Act, 1999, read with the Foreign Exchange Management (Non-debt Instruments) Rules, 2019, each as amended. Under the current consolidated policy, foreign direct investment of up to 100% is permitted under the automatic route in the manufacture of food products, subject to the applicable sectoral conditions, entry route conditions, pricing guidelines and reporting requirements.

The Government of India has, through Press Note No. 3 (2020 Series) dated April 17, 2020 and the corresponding amendment to the Foreign Exchange Management (Non-debt Instruments) Rules, 2019, provided that an entity of a country which shares a land border with India, or where the beneficial owner of an investment into India is situated in or is a citizen of any such country, may invest only under the government route. Further, in the event of the transfer of ownership of any existing or future foreign direct investment in an entity in India, directly or indirectly, resulting in the beneficial ownership falling within the said restriction, such subsequent change in beneficial ownership will also require government approval.

Accordingly, Bidders who are subject to the said restriction shall not be permitted to participate in the Issue unless they have obtained the prior approval of the Government of India, and each such Bidder shall be required to confirm compliance with the said requirement in the Bid cum Application Form. Our Company, the Lead Manager and their respective directors, officers, agents, affiliates and representatives accept no responsibility or liability for advising any Bidder as to whether such Bidder is eligible to participate in the Issue.

The Equity Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended, or any other applicable law of the United States, and, unless so registered, may not be offered or sold within the United States except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the U.S. Securities Act and applicable state securities laws. Accordingly, the Equity Shares are being offered and sold only outside the United States in offshore transactions in reliance on Regulation S under the U.S. Securities Act and the applicable laws of the jurisdiction where those offers and sales are made.

The above information is given for the benefit of the Bidders. Our Company and the Lead Manager are not liable for any amendment or modification or change in applicable law occurring after the date of this Draft Red Herring Prospectus. Bidders are advised to make their independent investigations and ensure that the number of Equity Shares Bid for do not exceed the applicable limits under laws or regulations.

SECTION VIII: DESCRIPTION OF EQUITY SHARES AND TERMS OF THE ARTICLES OF ASSOCIATION

Capitalised terms used in this section have the meaning given to such terms in the Articles of Association of our Company. Pursuant to Schedule I of the Companies Act, 2013 and the SEBI Listing Regulations, the main provisions of the Articles of Association of our Company are set out below. The Articles of Association of our Company comprise two parts, Part A and Part B, which parts shall, unless the context otherwise requires, co-exist with each other. Part B shall automatically terminate and cease to have any force and effect from the date of listing of the Equity Shares on the Stock Exchange, without any further action by our Company or by the Shareholders.

Share capital and variation of rights

The authorised share capital of our Company is as set out in Clause V of the Memorandum of Association. Subject to the provisions of the Companies Act, 2013 and the Articles of Association, the shares in the capital of our Company shall be under the control of the Board, which may issue, allot or otherwise dispose of the same to such persons, on such terms and conditions and at such times as the Board may think fit. [●]

Lien

[●]

Transfer and transmission of shares

[●]

Alteration of capital

[●]

General meetings and proceedings thereat

[●]

Votes of members

[●]

Board of Directors, appointment and rotation

[●]

Powers and proceedings of the Board

[●]

Borrowing powers

[●]

Dividends and reserves

[●]

Accounts and audit

[●]

Winding up

[●]

Indemnity

[●]

Note: This chapter is to be completed by reproducing the relevant Articles of Association of our Company, article by article, prior to the filing of the Red Herring Prospectus with the RoC. The Articles of Association are to be amended to give effect to the termination of the special rights conferred under the shareholders' agreement dated August 11, 2021 with effect from the date of listing, as described in "History and Certain Corporate Matters" beginning on page 42.

SECTION IX: OTHER INFORMATION

MATERIAL CONTRACTS AND DOCUMENTS FOR INSPECTION

The following contracts (not being contracts entered into in the ordinary course of business carried on by our Company or contracts entered into more than two years before the date of this Draft Red Herring Prospectus), which are or may be deemed material, have been entered into or are to be entered into by our Company. Copies of these contracts and also the documents for inspection referred to hereunder may be inspected at the Registered Office of our Company between 10.00 a.m. and 5.00 p.m. on all Working Days from the date of the Red Herring Prospectus until the Bid/Issue Closing Date. Any of the contracts or documents mentioned in this Draft Red Herring Prospectus may be amended or modified at any time if so required in the interest of our Company or if required by the other parties, without reference to the Shareholders, subject to compliance with applicable law.

A. Material contracts in relation to the Issue

1. Issue Agreement dated [●] among our Company and the Lead Manager.
2. Registrar Agreement dated [●] between our Company and the Registrar to the Issue.
3. Market Making Agreement dated [●] among our Company, the Lead Manager and the Designated Market Maker.
4. Underwriting Agreement dated [●] among our Company, the Lead Manager and the Underwriter.
5. Syndicate Agreement dated [●] among our Company, the Lead Manager, the Registrar to the Issue and the Syndicate Member.
6. Cash Escrow and Sponsor Bank Agreement dated [●] among our Company, the Lead Manager, the Registrar to the Issue and the Banker(s) to the Issue.
7. Tripartite agreement dated March 6, 2026 among our Company, National Securities Depository Limited and the Registrar to the Issue.
8. Tripartite agreement dated March 6, 2026 among our Company, Central Depository Services (India) Limited and the Registrar to the Issue.

B. Material documents for inspection

1. Certified copies of the updated Memorandum of Association and Articles of Association of our Company, as amended from time to time.
2. Certificate of incorporation of our Company dated March 14, 2016, and the fresh certificate of incorporation dated January 22, 2026 issued consequent upon the conversion of our Company into a public limited company.
3. Resolution of our Board dated February 18, 2026 authorising the Issue, and the special resolution of our Shareholders dated March 4, 2026 passed under Section 62(1)(c) of the Companies Act, 2013.
4. Resolution of our Board dated [●] approving this Draft Red Herring Prospectus.
5. The Restated Financial Information and the examination report of the Statutory Auditors thereon dated [●].
6. The certificate of the Statutory Auditors dated [●] in respect of the statement of possible special tax benefits.
7. The certificate of [●], Chartered Accountants, dated [●] in respect of the key performance indicators disclosed in “Basis for Issue Price”.
8. The certificate of [●], Chartered Accountants, dated [●] in respect of the capitalisation statement, the accounting ratios and the non-GAAP financial measures disclosed in this Draft Red Herring Prospectus.
9. The certificate of [●], Chartered Accountants, dated [●] in respect of the shareholding pattern, the share capital history and the weighted average cost of acquisition.

10. The certificate of [●], Chartered Engineer, dated [●] in respect of the installed capacity and capacity utilisation of our manufacturing facility.
11. The report titled “[●]” dated [●] prepared by [●], together with the consent letter of the Industry Consultant.
12. The shareholders’ agreement dated August 11, 2021, read with the share subscription agreements executed thereunder, and the amendment or termination deed thereto dated [●].
13. The registered lease deed dated [●] in respect of the manufacturing facility at Plot 42, Baner Industrial Estate, Baner, Pune.
14. The employment agreements entered into by our Company with our Managing Director and our Whole-time Director.
15. The litigation search report dated March 2, 2026 obtained in respect of our Company, our Directors and our Promoters.
16. The written consents of our Directors, our Company Secretary and Compliance Officer, our Chief Financial Officer, the Statutory Auditors, the legal counsel, the Lead Manager, the Registrar to the Issue, the Designated Market Maker, the bankers to our Company, the Banker(s) to the Issue, the Sponsor Bank, the Syndicate Member and the Industry Consultant, to include their names in this Draft Red Herring Prospectus in their respective capacities.
17. The declarations in Form DIR-8 furnished by each of our Directors under Section 164(2) of the Companies Act, 2013.
18. The in-principle approval of the National Stock Exchange of India Limited dated [●].
19. The due diligence certificate dated [●] addressed to the Stock Exchange by the Lead Manager.

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: Ananya Deshpande
Managing Director

Place: Pune

Date: [●]

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: Rohan Kulkarni
Whole-time Director

Place: Pune

Date: [●]

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: S. Iyer
Independent Director

Place: Pune

Date: [●]

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: Meera Nair
Independent Director

Place: Pune

Date: [●]

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: [●]
Chief Financial Officer

Place: Pune

Date: [●]

DECLARATION

I hereby certify and declare that all the relevant provisions of the Companies Act, 2013 and the rules, regulations and guidelines issued by the Government of India, and the rules, regulations and guidelines issued by the Securities and Exchange Board of India, established under Section 3 of the Securities and Exchange Board of India Act, 1992, as the case may be, have been complied with, and no statement made in this Draft Red Herring Prospectus is contrary to the provisions of the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the Securities and Exchange Board of India Act, 1992 or the rules made or regulations or guidelines issued thereunder, as the case may be. I further certify that all the statements made in this Draft Red Herring Prospectus are true and correct.

SIGNED BY:

Name: [●]
Company Secretary and Compliance Officer

Place: Pune

Date: [●]